

SOLVED PRACTICE WORKBOOK

Banking Structure, NBFCs and Financial Regulation - Solved Practice Workbook

UPSC complete learning session | Foundation to advanced | Concepts, evidence, practice and answer writing

Banking Structure, NBFCs and Financial Regulation	
REFRESHED TEACHING NAVIGATION — BASIC/CORE FIRST	
01	FOUNDATION — SCHEDULED STATUS AND COMMERCIAL-BANK FUNCTION Mechanism chain: Scheduled-bank status - Commercial-bank function
02	FOUNDATION — CO-OPERATIVE BANKING'S DUAL PERIMETER Mechanism chain: Co-operative-bank perimeter Qualified use:
03	FOUNDATION — WHAT RBI REGISTRATION DOES NOT MAKE AN NBFC Mechanism chain: NBFC boundary Qualified use: Preserve useful
04	CORE — SYSTEMIC REGULATION AND FINANCIAL STABILITY Technically, CORE — Systemic regulation and financial stability is
05	CORE — INDIA'S MULTI-TIER BANKING STRUCTURE Technically, CORE — India's multi-tier banking structure is analysed
06	CORE — DIFFERENTIATED LICENSING AND RURAL CREDIT PLANNING Technically, CORE — Differentiated licensing and rural credit planning
07	CORE — PRIORITY SECTOR LENDING ARCHITECTURE Technically, CORE — Priority Sector Lending architecture is analysed
08	CORE — WHY PSL RATIOS NEED EFFECTIVE-DATE DISCIPLINE Mechanism chain: PSL status caution Qualified use: Regulate
09	CORE — IL&FS, DHFL AND NBFC CONTAGION The IL&FS default in 2018 and DHFL-related stress showed how
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12	CORE — THE CROSS-SECTOR REGULATORY ARCHITECTURE Technically, CORE — The cross-sector regulatory architecture is
13	CORE SYNTHESIS — BANK ASSET AND LIABILITY CLASSIFICATION Mechanism chain: Bank asset-liability classification Qualified use:
14	CORE SYNTHESIS — FI-INDEX DIMENSIONS AND SYNDICATED LENDING Mechanism chain: Financial Inclusion Index - Syndicated lending
15	CORE SYNTHESIS — FOREIGN BANKS, LAF AND MONEY-LIABILITY TRAPS □ Every NBFC is a bank without branches. - Legal powers, deposits,

Original deterministic study visual; labels are explanatory, not textual quotations.

Source order: repository knowledge -> official current linkage -> clearly marked analysis. No fabricated PYQs or statistics.

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BASIC MCQS / REMEDIATION

Q1. Which statement correctly identifies Scheduled-bank status?

A. A scheduled bank is included in the Second Schedule to the RBI Act subject to eligibility conditions; scheduled status is a legal classification rather than a guarantee against failure. B. Commercial banks accept deposits, provide payment services and allocate credit, transforming short-maturity withdrawable liabilities into longer-maturity loans and investments. C. Co-operative banks are member-based institutions governed by co-operative law while their banking functions also attract RBI and banking-law oversight. D. An NBFC is a company carrying specified financial activity without being a bank; RBI registration does not confer full bank-style demand-deposit, cheque-payment or DICGC privileges.

Answer: A. Explanation: A scheduled bank is included in the Second Schedule to the RBI Act subject to eligibility conditions; scheduled status is a legal classification rather than a guarantee against failure. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q2. Which option preserves the accounting or regulatory boundary of Scheduled-bank status?

A. Systemic regulation addresses institutional safety and financial-system stability through entry, governance, prudential, conduct, reporting and interconnectedness rules. B. A scheduled bank is included in the Second Schedule to the RBI Act subject to eligibility conditions; scheduled status is a legal classification rather than a guarantee against failure. C. An NBFC is a company carrying specified financial activity without being a bank; RBI registration does not confer full bank-style demand-deposit, cheque-payment or DICGC privileges. D. Co-operative banks are member-based institutions governed by co-operative law while their banking functions also attract RBI and banking-law oversight.

Answer: B. Explanation: A scheduled bank is included in the Second Schedule to the RBI Act subject to eligibility conditions; scheduled status is a legal classification rather than a guarantee against failure. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q3. Which statement uses Scheduled-bank status without losing its vintage, basket or legal status?

A. Systemic regulation addresses institutional safety and financial-system stability through entry, governance, prudential, conduct, reporting and interconnectedness rules. B. India combines public, private and foreign banks, Regional Rural Banks, co-operative banks, Small Finance Banks and Payments Banks to serve different ownership, reach, credit and payment functions. C. A scheduled bank is included in the Second Schedule to the RBI Act subject to eligibility conditions; scheduled status is a legal classification rather than a guarantee against failure. D. An NBFC is a company carrying specified financial activity without being a bank; RBI registration does not confer full bank-style demand-deposit, cheque-payment or DICGC privileges.

Answer: C. Explanation: A scheduled bank is included in the Second Schedule to the RBI Act subject to eligibility conditions; scheduled status is a legal classification rather than a guarantee against failure. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q4. Which option avoids the standard UPSC close-option trap about Scheduled-bank status?

A. India combines public, private and foreign banks, Regional Rural Banks, co-operative banks, Small Finance Banks and Payments Banks to serve different ownership, reach, credit and payment functions. B. Systemic regulation addresses institutional safety and financial-system stability through entry, governance, prudential, conduct, reporting and interconnectedness rules. C. Small Finance Banks undertake deposit mobilisation and lending, whereas Payments Banks focus on deposits and payments and cannot lend from their own balance sheets. D. A scheduled bank is included in the Second Schedule to the RBI Act subject to eligibility conditions; scheduled status is a legal classification rather than a guarantee against failure.

Answer: D. Explanation: A scheduled bank is included in the Second Schedule to the RBI Act subject to eligibility conditions; scheduled status is a legal classification rather than a guarantee against failure. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q5. Which statement correctly identifies Commercial-bank function?

A. Commercial banks accept deposits, provide payment services and allocate credit, transforming short-maturity withdrawable liabilities into longer-maturity loans and investments. B. An NBFC is a company carrying specified financial activity without being a bank; RBI registration does not confer full bank-style demand-deposit, cheque-payment or DICGC privileges. C. Co-operative banks are member-based institutions governed by co-operative law while their banking functions also attract RBI and banking-law oversight. D. Systemic regulation addresses institutional safety and financial-system stability through entry, governance, prudential, conduct, reporting and interconnectedness rules.

Answer: A. Explanation: Commercial banks accept deposits, provide payment services and allocate credit, transforming short-maturity withdrawable liabilities into longer-maturity loans and investments. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q6. Which option preserves the accounting or regulatory boundary of Commercial-bank function?

A. An NBFC is a company carrying specified financial activity without being a bank; RBI registration does not confer full bank-style demand-deposit, cheque-payment or DICGC privileges. B. Commercial banks accept deposits, provide payment services and allocate credit, transforming short-maturity withdrawable liabilities into longer-maturity loans and investments. C. Systemic regulation addresses institutional safety and financial-system stability through entry, governance, prudential, conduct, reporting and interconnectedness rules. D. India combines public, private and foreign banks, Regional Rural Banks, co-operative banks, Small Finance Banks and Payments Banks to serve different ownership, reach, credit and payment functions.

Answer: B. Explanation: Commercial banks accept deposits, provide payment services and allocate credit, transforming short-maturity withdrawable liabilities into longer-maturity loans and investments. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q7. Which statement uses Commercial-bank function without losing its vintage, basket or legal status?

A. Small Finance Banks undertake deposit mobilisation and lending, whereas Payments Banks focus on deposits and payments and cannot lend from their own balance sheets. B. Systemic regulation addresses institutional safety and financial-system stability through entry, governance, prudential, conduct, reporting and interconnectedness rules. C. Commercial banks accept deposits, provide payment services and allocate credit, transforming short-maturity withdrawable liabilities into longer-maturity loans and investments. D. India combines public, private and foreign banks, Regional Rural Banks, co-operative banks, Small Finance Banks and Payments Banks to serve different ownership, reach, credit and payment functions.

Answer: C. Explanation: Commercial banks accept deposits, provide payment services and allocate credit, transforming short-maturity withdrawable liabilities into longer-maturity loans and investments. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q8. Which option avoids the standard UPSC close-option trap about Commercial-bank function?

A. RRBs, the Lead Bank Scheme and Service Area Approach linked branch expansion and formal rural credit with district and local-area planning. B. Small Finance Banks undertake deposit mobilisation and lending, whereas Payments Banks focus on deposits and payments and cannot lend from their own balance sheets. C. India combines public, private and foreign banks, Regional Rural Banks, co-operative banks, Small Finance Banks and Payments Banks to serve different ownership, reach, credit and payment functions. D. Commercial banks accept deposits, provide payment services and allocate credit, transforming short-maturity withdrawable liabilities into longer-maturity loans and investments.

Answer: D. Explanation: Commercial banks accept deposits, provide payment services and allocate credit, transforming short-maturity withdrawable liabilities into longer-maturity loans and investments. The other

options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q9. Which statement correctly identifies Co-operative-bank perimeter?

A. Co-operative banks are member-based institutions governed by co-operative law while their banking functions also attract RBI and banking-law oversight. B. An NBFC is a company carrying specified financial activity without being a bank; RBI registration does not confer full bank-style demand-deposit, cheque-payment or DICGC privileges. C. India combines public, private and foreign banks, Regional Rural Banks, co-operative banks, Small Finance Banks and Payments Banks to serve different ownership, reach, credit and payment functions. D. Systemic regulation addresses institutional safety and financial-system stability through entry, governance, prudential, conduct, reporting and interconnectedness rules.

Answer: A. Explanation: Co-operative banks are member-based institutions governed by co-operative law while their banking functions also attract RBI and banking-law oversight. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q10. Which option preserves the accounting or regulatory boundary of Co-operative-bank perimeter?

A. Small Finance Banks undertake deposit mobilisation and lending, whereas Payments Banks focus on deposits and payments and cannot lend from their own balance sheets. B. Co-operative banks are member-based institutions governed by co-operative law while their banking functions also attract RBI and banking-law oversight. C. Systemic regulation addresses institutional safety and financial-system stability through entry, governance, prudential, conduct, reporting and interconnectedness rules. D. India combines public, private and foreign banks, Regional Rural Banks, co-operative banks, Small Finance Banks and Payments Banks to serve different ownership, reach, credit and payment functions.

Answer: B. Explanation: Co-operative banks are member-based institutions governed by co-operative law while their banking functions also attract RBI and banking-law oversight. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q11. Which statement uses Co-operative-bank perimeter without losing its vintage, basket or legal status?

A. Small Finance Banks undertake deposit mobilisation and lending, whereas Payments Banks focus on deposits and payments and cannot lend from their own balance sheets. B. India combines public, private and foreign banks, Regional Rural Banks, co-operative banks, Small Finance Banks and Payments Banks to serve different ownership, reach, credit and payment functions. C. Co-operative banks are member-based institutions governed by co-operative law while their banking functions also attract RBI and banking-law oversight. D. RRBs, the Lead Bank Scheme and Service Area Approach linked branch expansion and formal rural credit with district and local-area planning.

Answer: C. Explanation: Co-operative banks are member-based institutions governed by co-operative law while their banking functions also attract RBI and banking-law oversight. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q12. Which option avoids the standard UPSC close-option trap about Co-operative-bank perimeter?

A. RRBs, the Lead Bank Scheme and Service Area Approach linked branch expansion and formal rural credit with district and local-area planning. B. Small Finance Banks undertake deposit mobilisation and lending, whereas Payments Banks focus on deposits and payments and cannot lend from their own balance sheets. C. RBI's owner record states a 40 per cent ANBC or credit-equivalent target for most domestic banks, 18 per cent for agriculture including 10 per cent for small and marginal farmers, and 12 per cent for weaker sections, with higher overall targets for RRBs and SFBs under the latest cited direction. D. Co-operative banks are member-based institutions governed by co-operative law while their banking functions also attract RBI and banking-law oversight.

Answer: D. Explanation: Co-operative banks are member-based institutions governed by co-operative law while their banking functions also attract RBI and banking-law oversight. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q13. Which statement correctly identifies NBFC boundary?

A. An NBFC is a company carrying specified financial activity without being a bank; RBI registration does not confer full bank-style demand-deposit, cheque-payment or DICGC privileges. B. Systemic regulation addresses institutional safety and financial-system stability through entry, governance, prudential, conduct, reporting and interconnectedness rules. C. Small Finance Banks undertake deposit mobilisation and lending, whereas Payments Banks focus on deposits and payments and cannot lend from their own balance sheets. D. India combines public, private and foreign banks, Regional Rural Banks, co-operative banks, Small Finance Banks and Payments Banks to serve different ownership, reach, credit and payment functions.

Answer: A. Explanation: An NBFC is a company carrying specified financial activity without being a bank; RBI registration does not confer full bank-style demand-deposit, cheque-payment or DICGC privileges. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q14. Which option preserves the accounting or regulatory boundary of NBFC boundary?

A. India combines public, private and foreign banks, Regional Rural Banks, co-operative banks, Small Finance Banks and Payments Banks to serve different ownership, reach, credit and payment functions. B. An NBFC is a company carrying specified financial activity without being a bank; RBI registration does not confer full bank-style demand-deposit, cheque-payment or DICGC privileges. C. Small Finance Banks undertake deposit mobilisation and lending, whereas Payments Banks focus on deposits and payments and cannot lend from their own balance sheets. D. RRBs, the Lead Bank Scheme and Service Area Approach linked branch expansion and formal rural credit with district and local-area planning.

Answer: B. Explanation: An NBFC is a company carrying specified financial activity without being a bank; RBI registration does not confer full bank-style demand-deposit, cheque-payment or DICGC privileges. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q15. Which statement uses NBFC boundary without losing its vintage, basket or legal status?

A. Small Finance Banks undertake deposit mobilisation and lending, whereas Payments Banks focus on deposits and payments and cannot lend from their own balance sheets. B. RBI's owner record states a 40 per cent ANBC or credit-equivalent target for most domestic banks, 18 per cent for agriculture including 10 per cent for small and marginal farmers, and 12 per cent for weaker sections, with higher overall targets for RRBs and SFBs under the latest cited direction. C. An NBFC is a company carrying specified financial activity without being a bank; RBI registration does not confer full bank-style demand-deposit, cheque-payment or DICGC privileges. D. RRBs, the Lead Bank Scheme and Service Area Approach linked branch expansion and formal rural credit with district and local-area planning.

Answer: C. Explanation: An NBFC is a company carrying specified financial activity without being a bank; RBI registration does not confer full bank-style demand-deposit, cheque-payment or DICGC privileges. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q16. Which option avoids the standard UPSC close-option trap about NBFC boundary?

A. PSL ratios, sub-targets and categories are periodically revised through RBI Master Directions, so a cited ratio must retain its effective direction and cannot be presented as a permanent constitutional or statutory number. B. RRBs, the Lead Bank Scheme and Service Area Approach linked branch expansion and formal rural credit with district and local-area planning. C. RBI's owner record states a 40 per cent ANBC or credit-equivalent target for most domestic banks, 18 per cent for agriculture including 10 per cent for small and marginal farmers, and 12 per cent for weaker sections, with higher overall targets for RRBs and SFBs under the latest cited direction. D. An NBFC is a company carrying specified financial activity without being a bank; RBI registration does not confer full bank-style demand-deposit, cheque-payment or DICGC privileges.

Answer: D. Explanation: An NBFC is a company carrying specified financial activity without being a bank; RBI registration does not confer full bank-style demand-deposit, cheque-payment or DICGC privileges. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q17. Which statement correctly identifies Systemic regulation?

A. Systemic regulation addresses institutional safety and financial-system stability through entry, governance, prudential, conduct, reporting and interconnectedness rules. B. India combines public, private and foreign banks, Regional Rural Banks, co-operative banks, Small Finance Banks and Payments Banks to serve different ownership, reach, credit and payment functions. C. RRBs, the Lead Bank Scheme and Service Area Approach linked branch expansion and formal rural credit with district and local-area planning. D. Small Finance Banks undertake deposit mobilisation and lending, whereas Payments Banks focus on deposits and payments and cannot lend from their own balance sheets.

Answer: A. Explanation: Systemic regulation addresses institutional safety and financial-system stability through entry, governance, prudential, conduct, reporting and interconnectedness rules. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q18. Which option preserves the accounting or regulatory boundary of Systemic regulation?

A. RBI's owner record states a 40 per cent ANBC or credit-equivalent target for most domestic banks, 18 per cent for agriculture including 10 per cent for small and marginal farmers, and 12 per cent for weaker sections, with higher overall targets for RRBs and SFBs under the latest cited direction. B. Systemic regulation addresses institutional safety and financial-system stability through entry, governance, prudential, conduct, reporting and interconnectedness rules. C. RRBs, the Lead Bank Scheme and Service Area Approach linked branch expansion and formal rural credit with district and local-area planning. D. Small Finance Banks undertake deposit mobilisation and lending, whereas Payments Banks focus on deposits and payments and cannot lend from their own balance sheets.

Answer: B. Explanation: Systemic regulation addresses institutional safety and financial-system stability through entry, governance, prudential, conduct, reporting and interconnectedness rules. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q19. Which statement uses Systemic regulation without losing its vintage, basket or legal status?

A. RRBs, the Lead Bank Scheme and Service Area Approach linked branch expansion and formal rural credit with district and local-area planning. B. PSL ratios, sub-targets and categories are periodically revised through RBI Master Directions, so a cited ratio must retain its effective direction and cannot be presented as a permanent constitutional or statutory number. C. Systemic regulation addresses institutional safety and financial-system stability through entry, governance, prudential, conduct, reporting and interconnectedness rules. D. RBI's owner record states a 40 per cent ANBC or credit-equivalent target for most domestic banks, 18 per cent for agriculture including 10 per cent for small and marginal farmers, and 12 per cent for weaker sections, with higher overall targets for RRBs and SFBs under the latest cited direction.

Answer: C. Explanation: Systemic regulation addresses institutional safety and financial-system stability through entry, governance, prudential, conduct, reporting and interconnectedness rules. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q20. Which option avoids the standard UPSC close-option trap about Systemic regulation?

A. RBI's owner record states a 40 per cent ANBC or credit-equivalent target for most domestic banks, 18 per cent for agriculture including 10 per cent for small and marginal farmers, and 12 per cent for weaker sections, with higher overall targets for RRBs and SFBs under the latest cited direction. B. PSL ratios, sub-targets and categories are periodically revised through RBI Master Directions, so a cited ratio must retain its effective direction and cannot be presented as a permanent constitutional or statutory number. C. The IL&FS default in 2018 and DHFL-related stress showed how wholesale funding, maturity mismatch and interconnectedness can transmit NBFC stress to mutual funds, banks and credit markets. D. Systemic regulation addresses institutional safety and financial-system stability through entry, governance, prudential, conduct, reporting and interconnectedness rules.

Answer: D. Explanation: Systemic regulation addresses institutional safety and financial-system stability through entry, governance, prudential, conduct, reporting and interconnectedness rules. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q21. Which statement correctly identifies Multi-tier banking structure?

A. India combines public, private and foreign banks, Regional Rural Banks, co-operative banks, Small Finance Banks and Payments Banks to serve different ownership, reach, credit and payment functions. B. RRBs, the Lead Bank Scheme and Service Area Approach linked branch expansion and formal rural credit with district and local-area planning. C. RBI's owner record states a 40 per cent ANBC or credit-equivalent target for most domestic banks, 18 per cent for agriculture including 10 per cent for small and marginal farmers, and 12 per cent for weaker sections, with higher overall targets for RRBs and SFBs under the latest cited direction. D. Small Finance Banks undertake deposit mobilisation and lending, whereas Payments Banks focus on deposits and payments and cannot lend from their own balance sheets.

Answer: A. Explanation: India combines public, private and foreign banks, Regional Rural Banks, co-operative banks, Small Finance Banks and Payments Banks to serve different ownership, reach, credit and payment functions. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q22. Which option preserves the accounting or regulatory boundary of Multi-tier banking structure?

A. PSL ratios, sub-targets and categories are periodically revised through RBI Master Directions, so a cited ratio must retain its effective direction and cannot be presented as a permanent constitutional or statutory number. B. India combines public, private and foreign banks, Regional Rural Banks, co-operative banks, Small Finance Banks and Payments Banks to serve different ownership, reach, credit and payment functions. C. RRBs, the Lead Bank Scheme and Service Area Approach linked branch expansion and formal rural credit with district and local-area planning. D. RBI's owner record states a 40 per cent ANBC or credit-equivalent target for most domestic banks, 18 per cent for agriculture including 10 per cent for small and marginal farmers, and 12 per cent for weaker sections, with higher overall targets for RRBs and SFBs under the latest cited direction.

Answer: B. Explanation: India combines public, private and foreign banks, Regional Rural Banks, co-operative banks, Small Finance Banks and Payments Banks to serve different ownership, reach, credit and payment functions. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q23. Which statement uses Multi-tier banking structure without losing its vintage, basket or legal status?

A. PSL ratios, sub-targets and categories are periodically revised through RBI Master Directions, so a cited ratio must retain its effective direction and cannot be presented as a permanent constitutional or statutory number. B. The IL&FS default in 2018 and DHFL-related stress showed how wholesale funding, maturity mismatch and interconnectedness can transmit NBFC stress to mutual funds, banks and credit markets. C. India combines public, private and foreign banks, Regional Rural Banks, co-operative banks, Small Finance Banks and Payments Banks to serve different ownership, reach, credit and payment functions. D. RBI's owner record states a 40 per cent ANBC or credit-equivalent target for most domestic banks, 18 per cent for agriculture including 10 per cent for small and marginal farmers, and 12 per cent for weaker sections, with higher overall targets for RRBs and SFBs under the latest cited direction.

Answer: C. Explanation: India combines public, private and foreign banks, Regional Rural Banks, co-operative banks, Small Finance Banks and Payments Banks to serve different ownership, reach, credit and payment functions. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q24. Which option avoids the standard UPSC close-option trap about Multi-tier banking structure?

A. The IL&FS default in 2018 and DHFL-related stress showed how wholesale funding, maturity mismatch and interconnectedness can transmit NBFC stress to mutual funds, banks and credit markets. B. DICGC provides statutory insurance for eligible deposits in covered banks up to the owner's stated cap of five lakh rupees per depositor per bank, including principal and interest, but not shares, bonds, mutual funds or ordinary NBFC liabilities. C. PSL ratios, sub-targets and categories are periodically revised through RBI Master Directions, so a cited ratio must retain its effective direction and cannot be presented as a permanent constitutional or statutory number. D. India combines public, private and foreign banks, Regional Rural Banks, co-operative banks, Small Finance Banks and Payments Banks to serve different ownership, reach, credit and payment functions.

Answer: D. Explanation: India combines public, private and foreign banks, Regional Rural Banks, co-operative banks, Small Finance Banks and Payments Banks to serve different ownership, reach, credit and payment functions. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q25. Which statement correctly identifies Differentiated licensing?

A. Small Finance Banks undertake deposit mobilisation and lending, whereas Payments Banks focus on deposits and payments and cannot lend from their own balance sheets. B. PSL ratios, sub-targets and categories are periodically revised through RBI Master Directions, so a cited ratio must retain its effective direction and cannot be presented as a permanent constitutional or statutory number. C. RBI's owner record states a 40 per cent ANBC or credit-equivalent target for most domestic banks, 18 per cent for agriculture including 10 per cent for small and marginal farmers, and 12 per cent for weaker sections, with higher overall targets for RRBs and SFBs under the latest cited direction. D. RRBs, the Lead Bank Scheme and Service Area Approach linked branch expansion and formal rural credit with district and local-area planning.

Answer: A. Explanation: Small Finance Banks undertake deposit mobilisation and lending, whereas Payments Banks focus on deposits and payments and cannot lend from their own balance sheets. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q26. Which option preserves the accounting or regulatory boundary of Differentiated licensing?

A. RBI's owner record states a 40 per cent ANBC or credit-equivalent target for most domestic banks, 18 per cent for agriculture including 10 per cent for small and marginal farmers, and 12 per cent for weaker sections, with higher overall targets for RRBs and SFBs under the latest cited direction. B. Small Finance Banks undertake deposit mobilisation and lending, whereas Payments Banks focus on deposits and payments and cannot lend from their own balance sheets. C. The IL&FS default in 2018 and DHFL-related stress showed how wholesale funding, maturity mismatch and interconnectedness can transmit NBFC stress to mutual funds, banks and credit markets. D. PSL ratios, sub-targets and categories are periodically revised through RBI Master Directions, so a cited ratio must retain its effective direction and cannot be presented as a permanent constitutional or statutory number.

Answer: B. Explanation: Small Finance Banks undertake deposit mobilisation and lending, whereas Payments Banks focus on deposits and payments and cannot lend from their own balance sheets. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q27. Which statement uses Differentiated licensing without losing its vintage, basket or legal status?

A. PSL ratios, sub-targets and categories are periodically revised through RBI Master Directions, so a cited ratio must retain its effective direction and cannot be presented as a permanent constitutional or statutory number. B. The IL&FS default in 2018 and DHFL-related stress showed how wholesale funding, maturity mismatch and interconnectedness can transmit NBFC stress to mutual funds, banks and credit markets. C. Small Finance Banks undertake deposit mobilisation and lending, whereas Payments Banks focus on deposits and payments and cannot lend from their own balance sheets. D. DICGC provides statutory insurance for eligible deposits in covered banks up to the owner's stated cap of five lakh rupees per depositor per bank, including principal and interest, but not shares, bonds, mutual funds or ordinary NBFC liabilities.

Answer: C. Explanation: Small Finance Banks undertake deposit mobilisation and lending, whereas Payments Banks focus on deposits and payments and cannot lend from their own balance sheets. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q28. Which option avoids the standard UPSC close-option trap about Differentiated licensing?

A. RBI's PCA framework uses risk-based thresholds and graduated restrictions for weak banks before disorderly failure; PCA is not liquidation or a deposit-insurance payout. B. The IL&FS default in 2018 and DHFL-related stress showed how wholesale funding, maturity mismatch and interconnectedness can transmit NBFC stress to mutual funds, banks and credit markets. C. DICGC provides statutory insurance for eligible deposits in covered banks up to the owner's stated cap of five lakh rupees per depositor per bank, including principal and interest, but not shares, bonds, mutual funds or ordinary NBFC liabilities. D. Small Finance Banks undertake deposit mobilisation and lending, whereas Payments Banks focus on deposits and payments and cannot lend from their own balance sheets.

Answer: D. Explanation: Small Finance Banks undertake deposit mobilisation and lending, whereas Payments Banks focus on deposits and payments and cannot lend from their own balance sheets. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q29. Which statement correctly identifies Rural place-based architecture?

A. RRBs, the Lead Bank Scheme and Service Area Approach linked branch expansion and formal rural credit with district and local-area planning. B. PSL ratios, sub-targets and categories are periodically revised through RBI Master Directions, so a cited ratio must retain its effective direction and cannot be presented as a permanent constitutional or statutory number. C. The IL&FS default in 2018 and DHFL-related stress showed how wholesale funding, maturity mismatch and interconnectedness can transmit NBFC stress to mutual funds, banks and credit markets. D. RBI's owner record states a 40 per cent ANBC or credit-equivalent target for most domestic banks, 18 per cent for agriculture including 10 per cent for small and marginal farmers, and 12 per cent for weaker sections, with higher overall targets for RRBs and SFBs under the latest cited direction.

Answer: A. Explanation: RRBs, the Lead Bank Scheme and Service Area Approach linked branch expansion and formal rural credit with district and local-area planning. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q30. Which option preserves the accounting or regulatory boundary of Rural place-based architecture?

A. DICGC provides statutory insurance for eligible deposits in covered banks up to the owner's stated cap of five lakh rupees per depositor per bank, including principal and interest, but not shares, bonds, mutual funds or ordinary NBFC liabilities. B. RRBs, the Lead Bank Scheme and Service Area Approach linked branch expansion and formal rural credit with district and local-area planning. C. PSL ratios, sub-targets and categories are periodically revised through RBI Master Directions, so a cited ratio must retain its effective direction and cannot be presented as a permanent constitutional or statutory number. D. The IL&FS default in 2018 and DHFL-related stress showed how wholesale funding, maturity mismatch and interconnectedness can transmit NBFC stress to mutual funds, banks and credit markets.

Answer: B. Explanation: RRBs, the Lead Bank Scheme and Service Area Approach linked branch expansion and formal rural credit with district and local-area planning. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q31. Which statement uses Rural place-based architecture without losing its vintage, basket or legal status?

A. DICGC provides statutory insurance for eligible deposits in covered banks up to the owner's stated cap of five lakh rupees per depositor per bank, including principal and interest, but not shares, bonds, mutual funds or ordinary NBFC liabilities. B. RBI's PCA framework uses risk-based thresholds and graduated restrictions for weak banks before disorderly failure; PCA is not liquidation or a deposit-insurance payout. C. RRBs, the Lead Bank Scheme and Service Area Approach linked branch expansion and formal rural credit with district and local-area planning. D. The IL&FS default in 2018 and DHFL-related stress showed how wholesale funding, maturity mismatch and interconnectedness can transmit NBFC stress to mutual funds, banks and credit markets.

Answer: C. Explanation: RRBs, the Lead Bank Scheme and Service Area Approach linked branch expansion and formal rural credit with district and local-area planning. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q32. Which option avoids the standard UPSC close-option trap about Rural place-based architecture?

A. RBI's PCA framework uses risk-based thresholds and graduated restrictions for weak banks before disorderly failure; PCA is not liquidation or a deposit-insurance payout. B. DICGC provides statutory insurance for eligible deposits in covered banks up to the owner's stated cap of five lakh rupees per depositor per bank, including principal and interest, but not shares, bonds, mutual funds or ordinary NBFC liabilities. C. PSB recapitalisation, the SBI associate-bank merger and appointment-governance reforms show that ownership, capital and structure matter alongside prudential supervision. D. RRBs, the Lead Bank Scheme and Service Area Approach linked branch expansion and formal rural credit with district and local-area planning.

Answer: D. Explanation: RRBs, the Lead Bank Scheme and Service Area Approach linked branch expansion and formal rural credit with district and local-area planning. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q33. Which statement correctly identifies Priority Sector Lending?

A. RBI's owner record states a 40 per cent ANBC or credit-equivalent target for most domestic banks, 18 per cent for agriculture including 10 per cent for small and marginal farmers, and 12 per cent for weaker sections, with higher overall targets for RRBs and SFBs under the latest cited direction. B. DICGC provides statutory insurance for eligible deposits in covered banks up to the owner's stated cap of five lakh rupees per depositor per bank, including principal and interest, but not shares, bonds, mutual funds or ordinary NBFC liabilities. C. The IL&FS default in 2018 and DHFL-related stress showed how wholesale funding, maturity mismatch and interconnectedness can transmit NBFC stress to mutual funds, banks and credit markets. D. PSL ratios, sub-targets and categories are periodically revised through RBI Master Directions, so a cited ratio must retain its effective direction and cannot be presented as a permanent constitutional or statutory number.

Answer: A. Explanation: RBI's owner record states a 40 per cent ANBC or credit-equivalent target for most domestic banks, 18 per cent for agriculture including 10 per cent for small and marginal farmers, and 12 per cent for weaker sections, with higher overall targets for RRBs and SFBs under the latest cited direction. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q34. Which option preserves the accounting or regulatory boundary of Priority Sector Lending?

A. The IL&FS default in 2018 and DHFL-related stress showed how wholesale funding, maturity mismatch and interconnectedness can transmit NBFC stress to mutual funds, banks and credit markets. B. RBI's owner record states a 40 per cent ANBC or credit-equivalent target for most domestic banks, 18 per cent for agriculture including 10 per cent for small and marginal farmers, and 12 per cent for weaker sections, with higher overall targets for RRBs and SFBs under the latest cited direction. C. DICGC provides statutory insurance for eligible deposits in covered banks up to the owner's stated cap of five lakh rupees per depositor per bank, including principal and interest, but not shares, bonds, mutual funds or ordinary NBFC liabilities. D. RBI's PCA framework uses risk-based thresholds and graduated restrictions for weak banks before disorderly failure; PCA is not liquidation or a deposit-insurance payout.

Answer: B. Explanation: RBI's owner record states a 40 per cent ANBC or credit-equivalent target for most domestic banks, 18 per cent for agriculture including 10 per cent for small and marginal farmers, and 12 per cent for weaker sections, with higher overall targets for RRBs and SFBs under the latest cited direction. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q35. Which statement uses Priority Sector Lending without losing its vintage, basket or legal status?

A. DICGC provides statutory insurance for eligible deposits in covered banks up to the owner's stated cap of five lakh rupees per depositor per bank, including principal and interest, but not shares, bonds, mutual funds or ordinary NBFC liabilities. B. RBI's PCA framework uses risk-based thresholds and graduated restrictions for weak banks before disorderly failure; PCA is not liquidation or a deposit-insurance payout. C. RBI's owner record states a 40 per cent ANBC or credit-equivalent target for most domestic banks, 18 per cent for agriculture including 10 per cent for small and marginal farmers, and 12 per cent for weaker sections, with higher overall targets for RRBs and SFBs under the latest cited direction. D. PSB recapitalisation, the SBI associate-bank merger and appointment-governance reforms show that ownership, capital and structure matter alongside prudential supervision.

Answer: C. Explanation: RBI's owner record states a 40 per cent ANBC or credit-equivalent target for most domestic banks, 18 per cent for agriculture including 10 per cent for small and marginal farmers, and 12 per cent for weaker sections, with higher overall targets for RRBs and SFBs under the latest cited direction. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q36. Which option avoids the standard UPSC close-option trap about Priority Sector Lending?

A. RBI regulates banking and NBFC activity, DICGC insures eligible bank deposits, SEBI regulates securities, IRDAI insurance, PFRDA pensions, and FSDC supports cross-regulatory coordination. B. PSB recapitalisation, the SBI associate-bank merger and appointment-governance reforms show that ownership, capital and structure matter alongside prudential supervision. C. RBI's PCA framework uses risk-based thresholds and graduated restrictions for weak banks before disorderly failure; PCA is not liquidation or a deposit-insurance payout. D. RBI's owner record states a 40 per cent ANBC or credit-equivalent target for most domestic banks, 18 per cent for agriculture including 10 per cent for small and marginal farmers, and 12 per cent for weaker sections, with higher overall targets for RRBs and SFBs under the latest cited direction.

Answer: D. Explanation: RBI's owner record states a 40 per cent ANBC or credit-equivalent target for most domestic banks, 18 per cent for agriculture including 10 per cent for small and marginal farmers, and 12 per cent for weaker sections, with higher overall targets for RRBs and SFBs under the latest cited direction. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q37. Which statement correctly identifies PSL status caution?

A. PSL ratios, sub-targets and categories are periodically revised through RBI Master Directions, so a cited ratio must retain its effective direction and cannot be presented as a permanent constitutional or statutory number. B. DICGC provides statutory insurance for eligible deposits in covered banks up to the owner's stated cap of five lakh rupees per depositor per bank, including principal and interest, but not shares, bonds, mutual funds or ordinary NBFC liabilities. C. RBI's PCA framework uses risk-based thresholds and graduated restrictions for weak banks before disorderly failure; PCA is not liquidation or a deposit-insurance payout. D. The IL&FS default in 2018 and DHFL-related stress showed how wholesale funding, maturity mismatch and interconnectedness can transmit NBFC stress to mutual funds, banks and credit markets.

Answer: A. Explanation: PSL ratios, sub-targets and categories are periodically revised through RBI Master Directions, so a cited ratio must retain its effective direction and cannot be presented as a permanent constitutional or statutory number. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q38. Which option preserves the accounting or regulatory boundary of PSL status caution?

A. PSB recapitalisation, the SBI associate-bank merger and appointment-governance reforms show that ownership, capital and structure matter alongside prudential supervision. B. PSL ratios, sub-targets and categories are periodically revised through RBI Master Directions, so a cited ratio must retain its effective direction and cannot be presented as a permanent constitutional or statutory number. C. DICGC provides statutory insurance for eligible deposits in covered banks up to the owner's stated cap of five lakh rupees per depositor per bank, including principal and interest, but not shares, bonds, mutual funds or ordinary NBFC liabilities. D. RBI's PCA framework uses risk-based thresholds and graduated restrictions for weak banks before disorderly failure; PCA is not liquidation or a deposit-insurance payout.

Answer: B. Explanation: PSL ratios, sub-targets and categories are periodically revised through RBI Master Directions, so a cited ratio must retain its effective direction and cannot be presented as a permanent constitutional or statutory number. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q39. Which statement uses PSL status caution without losing its vintage, basket or legal status?

A. PSB recapitalisation, the SBI associate-bank merger and appointment-governance reforms show that ownership, capital and structure matter alongside prudential supervision. B. RBI's PCA framework uses risk-based thresholds and graduated restrictions for weak banks before disorderly failure; PCA is not liquidation or a deposit-insurance payout. C. PSL ratios, sub-targets and categories are periodically revised through RBI Master Directions, so a cited ratio must retain its effective direction and cannot be presented as a permanent constitutional or statutory number. D. RBI regulates banking and NBFC activity, DICGC insures eligible bank deposits, SEBI regulates securities, IRDAI insurance, PFRDA pensions, and FSDC supports cross-regulatory coordination.

Answer: C. Explanation: PSL ratios, sub-targets and categories are periodically revised through RBI Master Directions, so a cited ratio must retain its effective direction and cannot be presented as a permanent constitutional or statutory number. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q40. Which option avoids the standard UPSC close-option trap about PSL status caution?

A. PSB recapitalisation, the SBI associate-bank merger and appointment-governance reforms show that ownership, capital and structure matter alongside prudential supervision. B. RBI regulates banking and NBFC activity, DICGC insures eligible bank deposits, SEBI regulates securities, IRDAI insurance, PFRDA pensions, and FSDC supports cross-regulatory coordination. C. Loans, investments, cash and balances with RBI or other banks are typical commercial-bank assets, while customer deposits are liabilities. D. PSL ratios, sub-targets and categories are periodically revised through RBI Master Directions, so a cited ratio must retain its effective direction and cannot be presented as a permanent constitutional or statutory number.

Answer: D. Explanation: PSL ratios, sub-targets and categories are periodically revised through RBI Master Directions, so a cited ratio must retain its effective direction and cannot be presented as a permanent constitutional or statutory number. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q41. Which statement correctly identifies NBFC contagion risk?

A. The IL&FS default in 2018 and DHFL-related stress showed how wholesale funding, maturity mismatch and interconnectedness can transmit NBFC stress to mutual funds, banks and credit markets. B. RBI's PCA framework uses risk-based thresholds and graduated restrictions for weak banks before disorderly failure; PCA is not liquidation or a deposit-insurance payout. C. DICGC provides statutory insurance for eligible deposits in covered banks up to the owner's stated cap of five lakh rupees per depositor per bank, including principal and interest, but not shares, bonds, mutual funds or ordinary NBFC liabilities. D. PSB recapitalisation, the SBI associate-bank merger and appointment-governance reforms show that ownership, capital and structure matter alongside prudential supervision.

Answer: A. Explanation: The IL&FS default in 2018 and DHFL-related stress showed how wholesale funding, maturity mismatch and interconnectedness can transmit NBFC stress to mutual funds, banks and credit markets. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q42. Which option preserves the accounting or regulatory boundary of NBFC contagion risk?

A. RBI's PCA framework uses risk-based thresholds and graduated restrictions for weak banks before disorderly failure; PCA is not liquidation or a deposit-insurance payout. B. The IL&FS default in 2018 and DHFL-related stress showed how wholesale funding, maturity mismatch and interconnectedness can transmit NBFC stress to mutual funds, banks and credit markets. C. RBI regulates banking and NBFC activity, DICGC insures eligible bank deposits, SEBI regulates securities, IRDAI insurance, PFRDA pensions, and FSDC supports cross-regulatory coordination. D. PSB recapitalisation, the SBI associate-bank merger and appointment-governance reforms show that ownership, capital and structure matter alongside prudential supervision.

Answer: B. Explanation: The IL&FS default in 2018 and DHFL-related stress showed how wholesale funding, maturity mismatch and interconnectedness can transmit NBFC stress to mutual funds, banks and credit markets. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q43. Which statement uses NBFC contagion risk without losing its vintage, basket or legal status?

A. Loans, investments, cash and balances with RBI or other banks are typical commercial-bank assets, while customer deposits are liabilities. B. RBI regulates banking and NBFC activity, DICGC insures eligible bank deposits, SEBI regulates securities, IRDAI insurance, PFRDA pensions, and FSDC supports cross-regulatory coordination. C. The IL&FS default in 2018 and DHFL-related stress showed how wholesale funding, maturity mismatch and interconnectedness can transmit NBFC stress to mutual funds, banks and credit markets. D. PSB recapitalisation, the SBI associate-bank merger and appointment-governance reforms show that ownership, capital and structure matter alongside prudential supervision.

Answer: C. Explanation: The IL&FS default in 2018 and DHFL-related stress showed how wholesale funding, maturity mismatch and interconnectedness can transmit NBFC stress to mutual funds, banks and credit markets. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q44. Which option avoids the standard UPSC close-option trap about NBFC contagion risk?

A. RBI regulates banking and NBFC activity, DICGC insures eligible bank deposits, SEBI regulates securities, IRDAI insurance, PFRDA pensions, and FSDC supports cross-regulatory coordination. B. RBI's FI-Index measures Access, Usage and Quality, so it is broader than counting branches or accounts opened. C. Loans, investments, cash and balances with RBI or other banks are typical commercial-bank assets, while customer deposits are liabilities. D. The IL&FS default in 2018 and DHFL-related stress showed how wholesale funding, maturity mismatch and interconnectedness can transmit NBFC stress to mutual funds, banks and credit markets.

Answer: D. Explanation: The IL&FS default in 2018 and DHFL-related stress showed how wholesale funding, maturity mismatch and interconnectedness can transmit NBFC stress to mutual funds, banks and credit markets. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q45. Which statement correctly identifies DICGC perimeter?

A. DICGC provides statutory insurance for eligible deposits in covered banks up to the owner's stated cap of five lakh rupees per depositor per bank, including principal and interest, but not shares, bonds, mutual funds or ordinary NBFC liabilities. B. RBI's PCA framework uses risk-based thresholds and graduated restrictions for weak banks before disorderly failure; PCA is not liquidation or a deposit-insurance payout. C. RBI regulates banking and NBFC activity, DICGC insures eligible bank deposits, SEBI regulates securities, IRDAI insurance, PFRDA pensions, and FSDC supports cross-regulatory coordination. D. PSB recapitalisation, the SBI associate-bank merger and appointment-governance reforms show that ownership, capital and structure matter alongside prudential supervision.

Answer: A. Explanation: DICGC provides statutory insurance for eligible deposits in covered banks up to the owner's stated cap of five lakh rupees per depositor per bank, including principal and interest, but not shares, bonds, mutual funds or ordinary NBFC liabilities. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q46. Which option preserves the accounting or regulatory boundary of DICGC perimeter?

A. Loans, investments, cash and balances with RBI or other banks are typical commercial-bank assets, while customer deposits are liabilities. B. DICGC provides statutory insurance for eligible deposits in covered banks up to the owner's stated cap of five lakh rupees per depositor per bank, including principal and interest, but not shares, bonds, mutual funds or ordinary NBFC liabilities. C. PSB recapitalisation, the SBI associate-bank merger and appointment-governance reforms show that ownership, capital and structure matter alongside prudential supervision. D. RBI regulates banking and NBFC activity, DICGC insures eligible bank deposits, SEBI regulates securities, IRDAI insurance, PFRDA pensions, and FSDC supports cross-regulatory coordination.

Answer: B. Explanation: DICGC provides statutory insurance for eligible deposits in covered banks up to the owner's stated cap of five lakh rupees per depositor per bank, including principal and interest, but not shares, bonds, mutual funds or ordinary NBFC liabilities. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q47. Which statement uses DICGC perimeter without losing its vintage, basket or legal status?

A. Loans, investments, cash and balances with RBI or other banks are typical commercial-bank assets, while customer deposits are liabilities. B. RBI's FI-Index measures Access, Usage and Quality, so it is broader than counting branches or accounts opened. C. DICGC provides statutory insurance for eligible deposits in covered banks up to the owner's stated cap of five lakh rupees per depositor per bank, including principal and interest, but not shares, bonds, mutual funds or ordinary NBFC liabilities. D. RBI regulates banking and NBFC activity, DICGC insures eligible bank deposits, SEBI regulates securities, IRDAI insurance, PFRDA pensions, and FSDC supports cross-regulatory coordination.

Answer: C. Explanation: DICGC provides statutory insurance for eligible deposits in covered banks up to the owner's stated cap of five lakh rupees per depositor per bank, including principal and interest, but not shares, bonds, mutual funds or ordinary NBFC liabilities. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q48. Which option avoids the standard UPSC close-option trap about DICGC perimeter?

A. RBI's FI-Index measures Access, Usage and Quality, so it is broader than counting branches or accounts opened. B. Loans, investments, cash and balances with RBI or other banks are typical commercial-bank assets, while customer deposits are liabilities. C. Syndicated lending uses multiple lenders under coordinated terms to share one exposure; risk sharing does not remove the need for appraisal and lender coordination. D. DICGC provides statutory insurance for eligible deposits in covered banks up to the owner's stated cap of five lakh rupees per depositor per bank, including principal and interest, but not shares, bonds, mutual funds or ordinary NBFC liabilities.

Answer: D. Explanation: DICGC provides statutory insurance for eligible deposits in covered banks up to the owner's stated cap of five lakh rupees per depositor per bank, including principal and interest, but not shares, bonds, mutual funds or ordinary NBFC liabilities. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q49. Which statement correctly identifies Prompt Corrective Action?

A. RBI's PCA framework uses risk-based thresholds and graduated restrictions for weak banks before disorderly failure; PCA is not liquidation or a deposit-insurance payout. B. Loans, investments, cash and balances with RBI or other banks are typical commercial-bank assets, while customer deposits are liabilities. C. PSB recapitalisation, the SBI associate-bank merger and appointment-governance reforms show that ownership, capital and structure matter alongside prudential supervision. D. RBI regulates banking and NBFC activity, DICGC insures eligible bank deposits, SEBI regulates securities, IRDAI insurance, PFRDA pensions, and FSDC supports cross-regulatory coordination.

Answer: A. Explanation: RBI's PCA framework uses risk-based thresholds and graduated restrictions for weak banks before disorderly failure; PCA is not liquidation or a deposit-insurance payout. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q50. Which option preserves the accounting or regulatory boundary of Prompt Corrective Action?

A. RBI's FI-Index measures Access, Usage and Quality, so it is broader than counting branches or accounts opened. B. RBI's PCA framework uses risk-based thresholds and graduated restrictions for weak banks before disorderly failure; PCA is not liquidation or a deposit-insurance payout. C. Loans, investments, cash and balances with RBI or other banks are typical commercial-bank assets, while customer deposits are liabilities. D. RBI regulates banking and NBFC activity, DICGC insures eligible bank deposits, SEBI regulates securities, IRDAI insurance, PFRDA pensions, and FSDC supports cross-regulatory coordination.

Answer: B. Explanation: RBI's PCA framework uses risk-based thresholds and graduated restrictions for weak banks before disorderly failure; PCA is not liquidation or a deposit-insurance payout. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q51. Which statement uses Prompt Corrective Action without losing its vintage, basket or legal status?

A. Loans, investments, cash and balances with RBI or other banks are typical commercial-bank assets, while customer deposits are liabilities. B. RBI's FI-Index measures Access, Usage and Quality, so it is broader than counting branches or accounts opened. C. RBI's PCA framework uses risk-based thresholds and graduated restrictions for weak banks before disorderly failure; PCA is not liquidation or a deposit-insurance payout. D. Syndicated lending uses multiple lenders under coordinated terms to share one exposure; risk sharing does not remove the need for appraisal and lender coordination.

Answer: C. Explanation: RBI's PCA framework uses risk-based thresholds and graduated restrictions for weak banks before disorderly failure; PCA is not liquidation or a deposit-insurance payout. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q52. Which option avoids the standard UPSC close-option trap about Prompt Corrective Action?

A. RBI's FI-Index measures Access, Usage and Quality, so it is broader than counting branches or accounts opened. B. Syndicated lending uses multiple lenders under coordinated terms to share one exposure; risk sharing does not remove the need for appraisal and lender coordination. C. Foreign banks may use branch or wholly owned subsidiary modes under RBI rules, and ordinary NBFCs do not automatically receive the same routine LAF access as scheduled banks. D. RBI's PCA framework uses risk-based thresholds and graduated restrictions for weak banks before disorderly failure; PCA is not liquidation or a deposit-insurance payout.

Answer: D. Explanation: RBI's PCA framework uses risk-based thresholds and graduated restrictions for weak banks before disorderly failure; PCA is not liquidation or a deposit-insurance payout. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q53. Which statement correctly identifies Public-sector banking reform?

A. PSB recapitalisation, the SBI associate-bank merger and appointment-governance reforms show that ownership, capital and structure matter alongside prudential supervision. B. RBI's FI-Index measures Access, Usage and Quality, so it is broader than counting branches or accounts opened. C. Loans, investments, cash and balances with RBI or other banks are typical commercial-bank assets, while customer deposits are liabilities. D. RBI regulates banking and NBFC activity, DICGC insures eligible bank deposits, SEBI regulates securities, IRDAI insurance, PFRDA pensions, and FSDC supports cross-regulatory coordination.

Answer: A. Explanation: PSB recapitalisation, the SBI associate-bank merger and appointment-governance reforms show that ownership, capital and structure matter alongside prudential supervision. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q54. Which option preserves the accounting or regulatory boundary of Public-sector banking reform?

A. Loans, investments, cash and balances with RBI or other banks are typical commercial-bank assets, while customer deposits are liabilities. B. PSB recapitalisation, the SBI associate-bank merger and appointment-governance reforms show that ownership, capital and structure matter alongside prudential supervision. C. RBI's FI-Index measures Access, Usage and Quality, so it is broader than counting branches or accounts opened. D. Syndicated lending uses multiple lenders under coordinated terms to share one exposure; risk sharing does not remove the need for appraisal and lender coordination.

Answer: B. Explanation: PSB recapitalisation, the SBI associate-bank merger and appointment-governance reforms show that ownership, capital and structure matter alongside prudential supervision. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q55. Which statement uses Public-sector banking reform without losing its vintage, basket or legal status?

A. RBI's FI-Index measures Access, Usage and Quality, so it is broader than counting branches or accounts opened. B. Syndicated lending uses multiple lenders under coordinated terms to share one exposure; risk sharing does not remove the need for appraisal and lender coordination. C. PSB recapitalisation, the SBI associate-bank merger and appointment-governance reforms show that ownership, capital and structure matter alongside prudential supervision. D. Foreign banks may use branch or wholly owned subsidiary modes under RBI rules, and ordinary NBFCs do not automatically receive the same routine LAF access as scheduled banks.

Answer: C. Explanation: PSB recapitalisation, the SBI associate-bank merger and appointment-governance reforms show that ownership, capital and structure matter alongside prudential supervision. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q56. Which option avoids the standard UPSC close-option trap about Public-sector banking reform?

A. Foreign banks may use branch or wholly owned subsidiary modes under RBI rules, and ordinary NBFCs do not automatically receive the same routine LAF access as scheduled banks. B. Syndicated lending uses multiple lenders under coordinated terms to share one exposure; risk sharing does not remove the need for appraisal and lender coordination. C. Withdrawing a demand deposit into cash changes the composition of money held rather than automatically creating fresh credit, while aviation hull insurance is distinct from airline legal liability under the Montreal Convention framework. D. PSB recapitalisation, the SBI associate-bank merger and appointment-governance reforms show that ownership, capital and structure matter alongside prudential supervision.

Answer: D. Explanation: PSB recapitalisation, the SBI associate-bank merger and appointment-governance reforms show that ownership, capital and structure matter alongside prudential supervision. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q57. Which statement correctly identifies Regulatory architecture?

A. RBI regulates banking and NBFC activity, DICGC insures eligible bank deposits, SEBI regulates securities, IRDAI insurance, PFRDA pensions, and FSDC supports cross-regulatory coordination. B. Syndicated lending uses multiple lenders under coordinated terms to share one exposure; risk sharing does not remove the need for appraisal and lender coordination. C. RBI's FI-Index measures Access, Usage and Quality, so it is broader than counting branches or accounts opened. D. Loans, investments, cash and balances with RBI or other banks are typical commercial-bank assets, while customer deposits are liabilities.

Answer: A. Explanation: RBI regulates banking and NBFC activity, DICGC insures eligible bank deposits, SEBI regulates securities, IRDAI insurance, PFRDA pensions, and FSDC supports cross-regulatory coordination. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q58. Which option preserves the accounting or regulatory boundary of Regulatory architecture?

A. Syndicated lending uses multiple lenders under coordinated terms to share one exposure; risk sharing does not remove the need for appraisal and lender coordination. B. RBI regulates banking and NBFC activity, DICGC insures eligible bank deposits, SEBI regulates securities, IRDAI insurance, PFRDA pensions, and FSDC supports cross-regulatory coordination. C. Foreign banks may use branch or wholly owned subsidiary modes under RBI rules, and ordinary NBFCs do not automatically receive the same routine LAF access as scheduled banks. D. RBI's FI-Index measures Access, Usage and Quality, so it is broader than counting branches or accounts opened.

Answer: B. Explanation: RBI regulates banking and NBFC activity, DICGC insures eligible bank deposits, SEBI regulates securities, IRDAI insurance, PFRDA pensions, and FSDC supports cross-regulatory coordination. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q59. Which statement uses Regulatory architecture without losing its vintage, basket or legal status?

A. Foreign banks may use branch or wholly owned subsidiary modes under RBI rules, and ordinary NBFCs do not automatically receive the same routine LAF access as scheduled banks. B. Syndicated lending uses multiple lenders under coordinated terms to share one exposure; risk sharing does not remove the need for appraisal and lender coordination. C. RBI regulates banking and NBFC activity, DICGC insures eligible bank deposits, SEBI regulates securities, IRDAI insurance, PFRDA pensions, and FSDC supports cross-regulatory coordination. D. Withdrawing a demand deposit into cash changes the composition of money held rather than automatically creating fresh credit, while aviation hull insurance is distinct from airline legal liability under the Montreal Convention framework.

Answer: C. Explanation: RBI regulates banking and NBFC activity, DICGC insures eligible bank deposits, SEBI regulates securities, IRDAI insurance, PFRDA pensions, and FSDC supports cross-regulatory coordination. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q60. Which option avoids the standard UPSC close-option trap about Regulatory architecture?

A. Foreign banks may use branch or wholly owned subsidiary modes under RBI rules, and ordinary NBFCs do not automatically receive the same routine LAF access as scheduled banks. B. Withdrawing a demand deposit into cash changes the composition of money held rather than automatically creating fresh credit, while aviation hull insurance is distinct from airline legal liability under the Montreal Convention framework. C. A scheduled bank is included in the Second Schedule to the RBI Act subject to eligibility conditions; scheduled status is a legal classification rather than a guarantee against failure. D. RBI regulates banking and NBFC activity, DICGC insures eligible bank deposits, SEBI regulates securities, IRDAI insurance, PFRDA pensions, and FSDC supports cross-regulatory coordination.

Answer: D. Explanation: RBI regulates banking and NBFC activity, DICGC insures eligible bank deposits, SEBI regulates securities, IRDAI insurance, PFRDA pensions, and FSDC supports cross-regulatory coordination. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q61. Which statement correctly identifies Bank asset-liability classification?

A. Loans, investments, cash and balances with RBI or other banks are typical commercial-bank assets, while customer deposits are liabilities. B. RBI's FI-Index measures Access, Usage and Quality, so it is broader than counting branches or accounts opened. C. Syndicated lending uses multiple lenders under coordinated terms to share one exposure; risk sharing does not remove the need for appraisal and lender coordination. D. Foreign banks may use branch or wholly owned subsidiary modes under RBI rules, and ordinary NBFCs do not automatically receive the same routine LAF access as scheduled banks.

Answer: A. Explanation: Loans, investments, cash and balances with RBI or other banks are typical commercial-bank assets, while customer deposits are liabilities. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q62. Which option preserves the accounting or regulatory boundary of Bank asset-liability classification?

A. Withdrawing a demand deposit into cash changes the composition of money held rather than automatically creating fresh credit, while aviation hull insurance is distinct from airline legal liability under the Montreal Convention framework. B. Loans, investments, cash and balances with RBI or other banks are typical commercial-bank assets, while customer deposits are liabilities. C. Syndicated lending uses multiple lenders under coordinated terms to share one exposure; risk sharing does not remove the need for appraisal and lender coordination. D. Foreign banks may use branch or wholly owned subsidiary modes under RBI rules, and ordinary NBFCs do not automatically receive the same routine LAF access as scheduled banks.

Answer: B. Explanation: Loans, investments, cash and balances with RBI or other banks are typical commercial-bank assets, while customer deposits are liabilities. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q63. Which statement uses Bank asset-liability classification without losing its vintage, basket or legal status?

A. Withdrawing a demand deposit into cash changes the composition of money held rather than automatically creating fresh credit, while aviation hull insurance is distinct from airline legal liability under the Montreal Convention framework. B. A scheduled bank is included in the Second Schedule to the RBI Act subject to eligibility conditions; scheduled status is a legal classification rather than a guarantee against failure. C. Loans, investments, cash and balances with RBI or other banks are typical commercial-bank assets, while customer deposits are liabilities. D. Foreign banks may use branch or wholly owned subsidiary modes under RBI rules, and ordinary NBFCs do not automatically receive the same routine LAF access as scheduled banks.

Answer: C. Explanation: Loans, investments, cash and balances with RBI or other banks are typical commercial-bank assets, while customer deposits are liabilities. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q64. Which option avoids the standard UPSC close-option trap about Bank asset-liability classification?

A. Withdrawing a demand deposit into cash changes the composition of money held rather than automatically creating fresh credit, while aviation hull insurance is distinct from airline legal liability under the Montreal Convention framework. B. Commercial banks accept deposits, provide payment services and allocate credit, transforming short-maturity withdrawable liabilities into longer-maturity loans and investments. C. A scheduled bank is included in the Second Schedule to the RBI Act subject to eligibility conditions; scheduled status is a legal classification rather than a guarantee against failure. D. Loans, investments, cash and balances with RBI or other banks are typical commercial-bank assets, while customer deposits are liabilities.

Answer: D. Explanation: Loans, investments, cash and balances with RBI or other banks are typical commercial-bank assets, while customer deposits are liabilities. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q65. Which statement correctly identifies Financial Inclusion Index?

A. RBI's FI-Index measures Access, Usage and Quality, so it is broader than counting branches or accounts opened. B. Syndicated lending uses multiple lenders under coordinated terms to share one exposure; risk sharing does not remove the need for appraisal and lender coordination. C. Withdrawing a demand deposit into cash changes the composition of money held rather than automatically creating fresh credit, while aviation hull insurance is distinct from airline legal liability under the Montreal Convention framework. D. Foreign banks may use branch or wholly owned subsidiary modes under RBI rules, and ordinary NBFCs do not automatically receive the same routine LAF access as scheduled banks.

Answer: A. Explanation: RBI's FI-Index measures Access, Usage and Quality, so it is broader than counting branches or accounts opened. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q66. Which option preserves the accounting or regulatory boundary of Financial Inclusion Index?

A. A scheduled bank is included in the Second Schedule to the RBI Act subject to eligibility conditions; scheduled status is a legal classification rather than a guarantee against failure. B. RBI's FI-Index measures Access, Usage and Quality, so it is broader than counting branches or accounts opened. C. Withdrawing a demand deposit into cash changes the composition of money held rather than automatically creating fresh credit, while aviation hull insurance is distinct from airline legal liability under the Montreal Convention framework. D. Foreign banks may use branch or wholly owned subsidiary modes under RBI rules, and ordinary NBFCs do not automatically receive the same routine LAF access as scheduled banks.

Answer: B. Explanation: RBI's FI-Index measures Access, Usage and Quality, so it is broader than counting branches or accounts opened. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q67. Which statement uses Financial Inclusion Index without losing its vintage, basket or legal status?

A. A scheduled bank is included in the Second Schedule to the RBI Act subject to eligibility conditions; scheduled status is a legal classification rather than a guarantee against failure. B. Withdrawing a demand deposit into cash changes the composition of money held rather than automatically creating fresh credit, while aviation hull insurance is distinct from airline legal liability under the Montreal Convention framework. C. RBI's FI-Index measures Access, Usage and Quality, so it is broader than counting branches or accounts opened. D. Commercial banks accept deposits, provide payment services and allocate credit, transforming short-maturity withdrawable liabilities into longer-maturity loans and investments.

Answer: C. Explanation: RBI's FI-Index measures Access, Usage and Quality, so it is broader than counting branches or accounts opened. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q68. Which option avoids the standard UPSC close-option trap about Financial Inclusion Index?

A. Commercial banks accept deposits, provide payment services and allocate credit, transforming short-maturity withdrawable liabilities into longer-maturity loans and investments. B. Co-operative banks are member-based institutions governed by co-operative law while their banking functions also attract RBI and banking-law oversight. C. A scheduled bank is included in the Second Schedule to the RBI Act subject to eligibility conditions; scheduled status is a legal classification rather than a guarantee against failure. D. RBI's FI-Index measures Access, Usage and Quality, so it is broader than counting branches or accounts opened.

Answer: D. Explanation: RBI's FI-Index measures Access, Usage and Quality, so it is broader than counting branches or accounts opened. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q69. Which statement correctly identifies Syndicated lending?

A. Syndicated lending uses multiple lenders under coordinated terms to share one exposure; risk sharing does not remove the need for appraisal and lender coordination. B. Withdrawing a demand deposit into cash changes the composition of money held rather than automatically creating fresh credit, while aviation hull insurance is distinct from airline legal liability under the Montreal Convention framework. C. Foreign banks may use branch or wholly owned subsidiary modes under RBI rules, and ordinary NBFCs do not automatically receive the same routine LAF access as scheduled banks. D. A scheduled bank is included in the Second Schedule to the RBI Act subject to eligibility conditions; scheduled status is a legal classification rather than a guarantee against failure.

Answer: A. Explanation: Syndicated lending uses multiple lenders under coordinated terms to share one exposure; risk sharing does not remove the need for appraisal and lender coordination. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q70. Which option preserves the accounting or regulatory boundary of Syndicated lending?

A. Withdrawing a demand deposit into cash changes the composition of money held rather than automatically creating fresh credit, while aviation hull insurance is distinct from airline legal liability under the Montreal Convention framework. B. Syndicated lending uses multiple lenders under coordinated terms to share one exposure; risk sharing does not remove the need for appraisal and lender coordination. C. Commercial banks accept deposits, provide payment services and allocate credit, transforming short-maturity withdrawable liabilities into longer-maturity loans and investments. D. A scheduled bank is included in the Second Schedule to the RBI Act subject to eligibility conditions; scheduled status is a legal classification rather than a guarantee against failure.

Answer: B. Explanation: Syndicated lending uses multiple lenders under coordinated terms to share one exposure; risk sharing does not remove the need for appraisal and lender coordination. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q71. Which statement uses Syndicated lending without losing its vintage, basket or legal status?

A. A scheduled bank is included in the Second Schedule to the RBI Act subject to eligibility conditions; scheduled status is a legal classification rather than a guarantee against failure. B. Co-operative banks are member-based institutions governed by co-operative law while their banking functions also attract RBI and banking-law oversight. C. Syndicated lending uses multiple lenders under coordinated terms to share one exposure; risk sharing does not remove the need for appraisal and lender coordination. D. Commercial banks accept deposits, provide payment services and allocate credit, transforming short-maturity withdrawable liabilities into longer-maturity loans and investments.

Answer: C. Explanation: Syndicated lending uses multiple lenders under coordinated terms to share one exposure; risk sharing does not remove the need for appraisal and lender coordination. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q72. Which option avoids the standard UPSC close-option trap about Syndicated lending?

A. Commercial banks accept deposits, provide payment services and allocate credit, transforming short-maturity withdrawable liabilities into longer-maturity loans and investments. B. An NBFC is a company carrying specified financial activity without being a bank; RBI registration does not confer full bank-style demand-deposit, cheque-payment or DICGC privileges. C. Co-operative banks are member-based institutions governed by co-operative law while their banking functions also attract RBI and banking-law oversight. D. Syndicated lending uses multiple lenders under coordinated terms to share one exposure; risk sharing does not remove the need for appraisal and lender coordination.

Answer: D. Explanation: Syndicated lending uses multiple lenders under coordinated terms to share one exposure; risk sharing does not remove the need for appraisal and lender coordination. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q73. Which statement correctly identifies Foreign banks and facility access?

A. Foreign banks may use branch or wholly owned subsidiary modes under RBI rules, and ordinary NBFCs do not automatically receive the same routine LAF access as scheduled banks. B. A scheduled bank is included in the Second Schedule to the RBI Act subject to eligibility conditions; scheduled status is a legal classification rather than a guarantee against failure. C. Commercial banks accept deposits, provide payment services and allocate credit, transforming short-maturity withdrawable liabilities into longer-maturity loans and investments. D. Withdrawing a demand deposit into cash changes the composition of money held rather than automatically creating fresh credit, while aviation hull insurance is distinct from airline legal liability under the Montreal Convention framework.

Answer: A. Explanation: Foreign banks may use branch or wholly owned subsidiary modes under RBI rules, and ordinary NBFCs do not automatically receive the same routine LAF access as scheduled banks. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q74. Which option preserves the accounting or regulatory boundary of Foreign banks and facility access?

A. A scheduled bank is included in the Second Schedule to the RBI Act subject to eligibility conditions; scheduled status is a legal classification rather than a guarantee against failure. B. Foreign banks may use branch or wholly owned subsidiary modes under RBI rules, and ordinary NBFCs do not automatically receive the same routine LAF access as scheduled banks. C. Co-operative banks are member-based institutions governed by co-operative law while their banking functions also attract RBI and banking-law oversight. D. Commercial banks accept deposits, provide payment services and allocate credit, transforming short-maturity withdrawable liabilities into longer-maturity loans and investments.

Answer: B. Explanation: Foreign banks may use branch or wholly owned subsidiary modes under RBI rules, and ordinary NBFCs do not automatically receive the same routine LAF access as scheduled banks. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q75. Which statement uses Foreign banks and facility access without losing its vintage, basket or legal status?

A. An NBFC is a company carrying specified financial activity without being a bank; RBI registration does not confer full bank-style demand-deposit, cheque-payment or DICGC privileges. B. Commercial banks accept deposits, provide payment services and allocate credit, transforming short-maturity withdrawable liabilities into longer-maturity loans and investments. C. Foreign banks may use branch or wholly owned subsidiary modes under RBI rules, and ordinary NBFCs do not automatically receive the same routine LAF access as scheduled banks. D. Co-operative banks are member-based institutions governed by co-operative law while their banking functions also attract RBI and banking-law oversight.

Answer: C. Explanation: Foreign banks may use branch or wholly owned subsidiary modes under RBI rules, and ordinary NBFCs do not automatically receive the same routine LAF access as scheduled banks. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q76. Which option avoids the standard UPSC close-option trap about Foreign banks and facility access?

A. Systemic regulation addresses institutional safety and financial-system stability through entry, governance, prudential, conduct, reporting and interconnectedness rules. B. An NBFC is a company carrying specified financial activity without being a bank; RBI registration does not confer full bank-style demand-deposit, cheque-payment or DICGC privileges. C. Co-operative banks are member-based institutions governed by co-operative law while their banking functions also attract RBI and banking-law oversight. D. Foreign banks may use branch or wholly owned subsidiary modes under RBI rules, and ordinary NBFCs do not automatically receive the same routine LAF access as scheduled banks.

Answer: D. Explanation: Foreign banks may use branch or wholly owned subsidiary modes under RBI rules, and ordinary NBFCs do not automatically receive the same routine LAF access as scheduled banks. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q77. Which statement correctly identifies Money, insurance and liability traps?

A. Withdrawing a demand deposit into cash changes the composition of money held rather than automatically creating fresh credit, while aviation hull insurance is distinct from airline legal liability under the Montreal Convention framework. B. Commercial banks accept deposits, provide payment services and allocate credit, transforming short-maturity withdrawable liabilities into longer-maturity loans and investments. C. A scheduled bank is included in the Second Schedule to the RBI Act subject to eligibility conditions; scheduled status is a legal classification rather than a guarantee against failure. D. Co-operative banks are member-based institutions governed by co-operative law while their banking functions also attract RBI and banking-law oversight.

Answer: A. Explanation: Withdrawing a demand deposit into cash changes the composition of money held rather than automatically creating fresh credit, while aviation hull insurance is distinct from airline legal liability under the Montreal Convention framework. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q78. Which option preserves the accounting or regulatory boundary of Money, insurance and liability traps?

A. Commercial banks accept deposits, provide payment services and allocate credit, transforming short-maturity withdrawable liabilities into longer-maturity loans and investments. B. Withdrawing a demand deposit into cash changes the composition of money held rather than automatically creating fresh credit, while aviation hull insurance is distinct from airline legal liability under the Montreal Convention framework. C. An NBFC is a company carrying specified financial activity without being a bank; RBI registration does not confer full bank-style demand-deposit, cheque-payment or DICGC privileges. D. Co-operative banks are member-based institutions governed by co-operative law while their banking functions also attract RBI and banking-law oversight.

Answer: B. Explanation: Withdrawing a demand deposit into cash changes the composition of money held rather than automatically creating fresh credit, while aviation hull insurance is distinct from airline legal liability under the Montreal Convention framework. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q79. Which statement uses Money, insurance and liability traps without losing its vintage, basket or legal status?

A. Co-operative banks are member-based institutions governed by co-operative law while their banking functions also attract RBI and banking-law oversight. B. Systemic regulation addresses institutional safety and financial-system stability through entry, governance, prudential, conduct, reporting and interconnectedness rules. C. Withdrawing a demand deposit into cash changes the composition of money held rather than automatically creating fresh credit, while aviation hull insurance is distinct from airline legal liability under the Montreal Convention framework. D. An NBFC is a company carrying specified financial activity without being a bank; RBI registration does not confer full bank-style demand-deposit, cheque-payment or DICGC privileges.

Answer: C. Explanation: Withdrawing a demand deposit into cash changes the composition of money held rather than automatically creating fresh credit, while aviation hull insurance is distinct from airline legal liability under the Montreal Convention framework. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q80. Which option avoids the standard UPSC close-option trap about Money, insurance and liability traps?

A. Systemic regulation addresses institutional safety and financial-system stability through entry, governance, prudential, conduct, reporting and interconnectedness rules. B. An NBFC is a company carrying specified financial activity without being a bank; RBI registration does not confer full bank-style demand-deposit, cheque-payment or DICGC privileges. C. India combines public, private and foreign banks, Regional Rural Banks, co-operative banks, Small Finance Banks and Payments Banks to serve different ownership, reach, credit and payment functions. D. Withdrawing a demand deposit into cash changes the composition of money held rather than automatically creating fresh credit, while aviation hull insurance is distinct from airline legal liability under the Montreal Convention framework.

Answer: D. Explanation: Withdrawing a demand deposit into cash changes the composition of money held rather than automatically creating fresh credit, while aviation hull insurance is distinct from airline legal liability under the Montreal Convention framework. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

PYQS AND ANSWER PRACTICE

VERIFIED OBJECTIVE-ONLY PYQ OWNERSHIP AUDIT

The audited ledgers route objective demands on PSB governance, the Service Area Approach, bank assets, public-bank appointments, demand deposits, urban co-operative banks, Banks Board Bureau, NBFC/LAF distinctions, foreign banks, syndicated lending, FI-Index dimensions and NBFC deposit and payment privileges here. No Mains demand or answer letter is invented.

OWNER PYQ LEDGER EXTRACTS

9. PYQ application

- ANALYSIS: 2026 Prelims directly pushed distinctions between FI-Index dimensions and mere account-count measures.
- ANALYSIS: 2026 Prelims also required separating RBI registration of NBFCs from deposit insurance and payment-system participation.
- ANALYSIS: 2024 Prelims combined NBFC access windows, FPI or G-sec holdings and exchange debt platforms, rewarding venue-specific rather than generic statements.
- ANALYSIS: 2024 Prelims also tested qualified foreign-bank subsidiary statements, showing UPSC's preference for governance and capital nuance.
- ANALYSIS: Historical prelims have repeatedly used urban cooperative banks, demand deposits, PSB governance bodies and syndicated lending to test whether candidates confuse ownership, assets, liabilities and regulatory role.

2026 PYQ Integration

Status: 2026 question-level PYQ demand is integrated into this owner. **Provenance:** Audited local official-paper routing ledgers: _PYQ-ROUTING-PRELIMS-2026.md. **Answer-key rule:** The 2026 Prelims and CSAT Set-A keys held locally are **provisional**; no option or answer is recorded or inferred in this integration.

- **Year represented:** 2026
- **Paper(s):** Prelims GS-I
- **Routed question demands:** 3

Year	Paper	Q	PYQ demand (neutral rendering)	Directive / format	Source status	Owner requirement
2026	Prelims GS-I	91	RBI Financial Inclusion Index sub-indices and measurement dimensions	Objective question; provisional 2026 Set-A key present locally, answer not inferred	Provisional 2026 Set-A key present locally (Ans - 2026 - GS1 - Provisional); key is provisional - no answer letter recorded or inferred here	Cover the named fact/concept and its likely statement-level distinctions.
2026	Prelims GS-I	96	Aviation hull insurance and airline liability under Montreal Convention	Objective question; provisional 2026 Set-A key present locally, answer not inferred	Provisional 2026 Set-A key present locally (Ans - 2026 - GS1 - Provisional); key is provisional - no answer letter recorded or inferred here	Cover the named fact/concept and its likely statement-level distinctions.
2026	Prelims GS-I	99	NBFC deposits, RBI registration, payment systems, and deposit insurance	Objective question; provisional 2026 Set-A key present locally, answer not inferred	Provisional 2026 Set-A key present locally (Ans - 2026 - GS1 - Provisional); key is provisional - no answer letter recorded or inferred here	Cover the named fact/concept and its likely statement-level distinctions.

What this owner must now support

- RBI Financial Inclusion Index sub-indices and measurement dimensions
- Aviation hull insurance and airline liability under Montreal Convention
- NBFC deposits, RBI registration, payment systems, and deposit insurance

This block integrates the 2026 examinable demand and paper metadata. It is kept separate from the 2018-2023 and 2024-2025 blocks and does not convert a provisionally-keyed, answer-free objective question into a solved answer.

Recent PYQ Integration (2024-2025)

Status: 2024-2025 question-level PYQ demand is integrated into this owner. **Provenance:** Audited local official-paper routing ledgers: _PYQ-ROUTING-PRELIMS-2024-2025.md. **Answer-key rule:** The official 2024-2025 Prelims Set-A keys are present in the repository and CSAT Set-A keys are supplied; even so, no option or answer is recorded or inferred in this integration.

- **Years represented:** 2024
- **Paper(s):** Prelims GS-I
- **Routed question demands:** 3

Year	Paper	Q	PYQ demand (neutral rendering)	Directive / format	Source status	Owner requirement
2024	Prelims GS-I	42	NBFC access to LAF; FII holding G-Secs; exchange debt platforms	Objective question; official Set-A key available locally, answer not inferred	Key available locally (official Set-A answer key present); answer not recorded here	Cover the named fact/concept and its likely statement-level distinctions.
2024	Prelims GS-I	49	RBI rules for foreign banks - subsidiaries capital and board members	Objective question; official Set-A key available locally, answer not inferred	Key available locally (official Set-A answer key present); answer not recorded here	Cover the named fact/concept and its likely statement-level distinctions.
2024	Prelims GS-I	52	Syndicated lending - risk sharing across multiple lenders	Objective question; official Set-A key available locally, answer not inferred	Key available locally (official Set-A answer key present); answer not recorded here	Cover the named fact/concept and its likely statement-level distinctions.

What this owner must now support

- NBFC access to LAF; FII holding G-Secs; exchange debt platforms
- RBI rules for foreign banks - subsidiaries capital and board members
- Syndicated lending - risk sharing across multiple lenders

This block integrates the 2024-2025 examinable demand and paper metadata. It is kept separate from the 2018-2023 block and does not convert an unkeyed/answer-free objective question into a solved answer.

Historical PYQ Integration (2018-2023)

Status: Question-level PYQ demand is integrated into this owner. **Provenance:** Audited local official-paper routing ledgers: _PYQ-ROUTING-PRELIMS-2018-2023.md. **Answer-key rule:** The official 2018-2023 Prelims/CSAT keys are not held locally; no option or answer has been inferred.

- **Years represented:** 2018, 2019, 2020, 2021, 2022
- **Paper(s):** Prelims GS-I
- **Routed question demands:** 7

Year	Paper	Q	PYQ demand (neutral rendering)	Directive / format	Source status	Owner requirement
2018	Prelims GS-I	96	Public sector banking governance capital infusion and SBI merger	Objective question; official key unavailable locally	Routed; key unavailable locally	Cover the named fact/concept and its likely statement-level distinctions.
2019	Prelims GS-I	61	Service Area Approach under Lead Bank Scheme	Objective question; official key unavailable locally	Routed; key unavailable locally	Cover the named fact/concept and its likely statement-level distinctions.
2019	Prelims GS-I	64	Commercial bank assets classification in India	Objective question; official key unavailable locally	Routed; key unavailable locally	Cover the named fact/concept and its likely statement-level distinctions.
2019	Prelims GS-I	73	Selection process for public sector bank chairmen	Objective question; official key unavailable locally	Routed; key unavailable locally	Cover the named fact/concept and its likely statement-level distinctions.
2020	Prelims GS-I	50	Demand deposit cash withdrawal effect on money supply	Objective question; official key unavailable locally	Routed; key unavailable locally	Cover the named fact/concept and its likely statement-level distinctions.
2021	Prelims GS-I	5	Urban Cooperative Banks regulation and features	Objective question; official key unavailable locally	Routed; key unavailable locally	Cover the named fact/concept and its likely statement-level distinctions.
2022	Prelims GS-I	64	Banks Board Bureau role and public sector bank appointments	Objective question; official key unavailable locally	Banking specialist plus executive-body classification; key unavailable locally	Cover the named fact/concept and its likely statement-level distinctions.

What this owner must now support

- Public sector banking governance capital infusion and SBI merger
- Service Area Approach under Lead Bank Scheme
- Commercial bank assets classification in India
- Selection process for public sector bank chairmen
- Demand deposit cash withdrawal effect on money supply
- Urban Cooperative Banks regulation and features
- Banks Board Bureau role and public sector bank appointments

The table integrates the examinable demand and paper metadata. It does not turn an unkeyed objective question into a solved answer, and it does not claim that lexical presence alone proves full conceptual sufficiency.

10. PYQ-based analytical application

- ANALYSIS: 2024 Prelims combined NBFC access to LAF, FPI holdings of G-secs and exchange debt platforms.
- ANALYSIS: 2024 Prelims also tested precise foreign-bank subsidiary rules, showing UPSC's preference for qualified statements.

ORIGINAL MAINS 1 - 10 MARKS

Question: Distinguish banks, differentiated banks and ordinary NBFCs. Answer in about 150 words.

Model thesis: **Claim:** Commercial-bank function. **Named evidence/example:** Commercial banks accept deposits, provide payment services and allocate credit, transforming short-maturity withdrawable liabilities into longer-maturity loans and investments. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** NBFC boundary. **Named evidence/example:** An NBFC is a company carrying specified financial activity without being a bank; RBI registration does not confer full bank-style demand-deposit, cheque-payment or DICGC privileges. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Differentiated licensing. **Named evidence/example:** Small Finance Banks undertake deposit mobilisation and lending, whereas Payments Banks focus on deposits and payments and cannot lend from their own balance sheets. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Claim -> named evidence -> analysis -> qualification:

- Commercial banks accept deposits, provide payment services and allocate credit, transforming short-maturity withdrawable liabilities into longer-maturity loans and investments.
- An NBFC is a company carrying specified financial activity without being a bank; RBI registration does not confer full bank-style demand-deposit, cheque-payment or DICGC privileges.
- Small Finance Banks undertake deposit mobilisation and lending, whereas Payments Banks focus on deposits and payments and cannot lend from their own balance sheets.

Qualified conclusion: **Claim:** Commercial-bank function. **Named evidence/example:** Commercial banks accept deposits, provide payment services and allocate credit, transforming short-maturity withdrawable liabilities into longer-maturity loans and investments. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** NBFC boundary. **Named evidence/example:** An NBFC is a company carrying specified financial activity without being a bank; RBI registration does not confer full bank-style demand-deposit, cheque-payment or DICGC privileges. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Differentiated licensing. **Named evidence/example:** Small Finance Banks undertake deposit mobilisation and lending, whereas Payments Banks focus on deposits and payments and cannot lend from their own balance sheets. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Demand decoding: The directive **answer** requires a direct position on “Distinguish banks, differentiated banks and ordinary NBFCs. Answer in about 150 words.”, every clause, exact formula/category, institution and policy status, a monetary-fiscal-real-external transmission chain with lags, named Indian evidence, distribution/federal effects, trade-offs and a qualified conclusion.

Detailed examiner-grade model answer:

Introduction and thesis: **Claim:** Commercial-bank function. **Named evidence/example:** Commercial banks accept deposits, provide payment services and allocate credit, transforming short-maturity withdrawable liabilities into longer-maturity loans and investments. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion

must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** NBFC boundary. **Named evidence/example:** An NBFC is a company carrying specified financial activity without being a bank; RBI registration does not confer full bank-style demand-deposit, cheque-payment or DICGC privileges. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Differentiated licensing. **Named evidence/example:** Small Finance Banks undertake deposit mobilisation and lending, whereas Payments Banks focus on deposits and payments and cannot lend from their own balance sheets. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Analytical body:

1. **Claim and named evidence:** Commercial banks accept deposits, provide payment services and allocate credit, transforming short-maturity withdrawable liabilities into longer-maturity loans and investments. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
2. **Claim and named evidence:** An NBFC is a company carrying specified financial activity without being a bank; RBI registration does not confer full bank-style demand-deposit, cheque-payment or DICGC privileges. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
3. **Claim and named evidence:** Small Finance Banks undertake deposit mobilisation and lending, whereas Payments Banks focus on deposits and payments and cannot lend from their own balance sheets. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

Counter-position / limit: An accounting identity, index movement, allocation, rate change, notification, platform count, WTO notification or chronological association cannot alone establish transmission, utilisation, distributional benefit or attributable outcome; test mechanism, lag, counterfactual, data vintage, implementation and external/federal constraints.

Qualified conclusion: **Claim:** Commercial-bank function. **Named evidence/example:** Commercial banks accept deposits, provide payment services and allocate credit, transforming short-maturity withdrawable liabilities into longer-maturity loans and investments. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** NBFC boundary. **Named evidence/example:** An NBFC is a company carrying specified financial activity without being a bank; RBI registration does not confer full bank-style demand-deposit, cheque-payment or DICGC privileges. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Differentiated licensing. **Named evidence/example:** Small Finance Banks undertake deposit mobilisation and lending, whereas Payments Banks focus on deposits and payments and cannot lend from their own balance sheets. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Executable exam-length answer / compression plan: For 10 marks, spend one-sixth of the time decoding the directive and drawing definition/identity -> instrument or shock -> transmission -> growth, distribution, stability, sustainability and federal effects; state a thesis; write four to seven claim -> named evidence -> analysis -> qualification points; reserve the final minute for unit, denominator, data vintage, legal/programme status, lag, causation and residual-risk checks.

Why this earns marks: The answer obeys the directive, explains mechanisms rather than listing schemes, uses India-centric evidence and preserves formula, stock-flow, institutional, status, data-vintage, distributional and causal distinctions.

How to improve this answer: For “Distinguish banks, differentiated banks and ordinary NBFCs. Answer in about 150 words.”, replace the weakest catalogue point with one exact formula or classification, named institution/instrument, balance-sheet or incentive channel, lag, measurable outcome, distribution/federal effect and qualification.

ORIGINAL MAINS 2 - 10 MARKS

Question: Why does activity-based financial regulation matter? Answer in about 150 words.

Model thesis: Claim: Systemic regulation. **Named evidence/example:** Systemic regulation addresses institutional safety and financial-system stability through entry, governance, prudential, conduct, reporting and interconnectedness rules. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Regulatory architecture. **Named evidence/example:** RBI regulates banking and NBFC activity, DICGC insures eligible bank deposits, SEBI regulates securities, IRDAI insurance, PFRDA pensions, and FSDC supports cross-regulatory coordination. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Claim -> named evidence -> analysis -> qualification:

- Systemic regulation addresses institutional safety and financial-system stability through entry, governance, prudential, conduct, reporting and interconnectedness rules.
- RBI regulates banking and NBFC activity, DICGC insures eligible bank deposits, SEBI regulates securities, IRDAI insurance, PFRDA pensions, and FSDC supports cross-regulatory coordination.

Qualified conclusion: Claim: Systemic regulation. **Named evidence/example:** Systemic regulation addresses institutional safety and financial-system stability through entry, governance, prudential, conduct, reporting and interconnectedness rules. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Regulatory architecture. **Named evidence/example:** RBI regulates banking and NBFC activity, DICGC insures eligible bank deposits, SEBI regulates securities, IRDAI insurance, PFRDA pensions, and FSDC supports cross-regulatory coordination. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Demand decoding: The directive **answer** requires a direct position on “Why does activity-based financial regulation matter? Answer in about 150 words.”, every clause, exact formula/category, institution and policy status, a monetary-fiscal-real-external transmission chain with lags, named Indian evidence, distribution/federal effects, trade-offs and a qualified conclusion.

Detailed examiner-grade model answer:

Introduction and thesis: Claim: Systemic regulation. **Named evidence/example:** Systemic regulation addresses institutional safety and financial-system stability through entry, governance, prudential, conduct, reporting and interconnectedness rules. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain

the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Regulatory architecture. **Named evidence/example:** RBI regulates banking and NBFC activity, DICGC insures eligible bank deposits, SEBI regulates securities, IRDAI insurance, PFRDA pensions, and FSDC supports cross-regulatory coordination. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Analytical body:

1. **Claim and named evidence:** Systemic regulation addresses institutional safety and financial-system stability through entry, governance, prudential, conduct, reporting and interconnectedness rules. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
2. **Claim and named evidence:** RBI regulates banking and NBFC activity, DICGC insures eligible bank deposits, SEBI regulates securities, IRDAI insurance, PFRDA pensions, and FSDC supports cross-regulatory coordination. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

Counter-position / limit: An accounting identity, index movement, allocation, rate change, notification, platform count, WTO notification or chronological association cannot alone establish transmission, utilisation, distributional benefit or attributable outcome; test mechanism, lag, counterfactual, data vintage, implementation and external/federal constraints.

Qualified conclusion: **Claim:** Systemic regulation. **Named evidence/example:** Systemic regulation addresses institutional safety and financial-system stability through entry, governance, prudential, conduct, reporting and interconnectedness rules. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Regulatory architecture. **Named evidence/example:** RBI regulates banking and NBFC activity, DICGC insures eligible bank deposits, SEBI regulates securities, IRDAI insurance, PFRDA pensions, and FSDC supports cross-regulatory coordination. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Executable exam-length answer / compression plan: For 10 marks, spend one-sixth of the time decoding the directive and drawing definition/identity -> instrument or shock -> transmission -> growth, distribution, stability, sustainability and federal effects; state a thesis; write four to seven claim -> named evidence -> analysis -> qualification points; reserve the final minute for unit, denominator, data vintage, legal/programme status, lag, causation and residual-risk checks.

Why this earns marks: The answer obeys the directive, explains mechanisms rather than listing schemes, uses India-centric evidence and preserves formula, stock-flow, institutional, status, data-vintage, distributional and causal distinctions.

How to improve this answer: For “Why does activity-based financial regulation matter? Answer in about 150 words.”, replace the weakest catalogue point with one exact formula or classification, named institution/instrument, balance-sheet or incentive channel, lag, measurable outcome, distribution/federal effect and qualification.

ORIGINAL MAINS 3 - 15 MARKS

Question: Explain India's multi-tier banking architecture and its inclusion rationale. Answer in about 250 words.

Model thesis: Claim: Multi-tier banking structure. **Named evidence/example:** India combines public, private and foreign banks, Regional Rural Banks, co-operative banks, Small Finance Banks and Payments Banks to serve different ownership, reach, credit and payment functions. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability.

Qualification: The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Differentiated licensing. **Named evidence/example:** Small Finance Banks undertake deposit mobilisation and lending, whereas Payments Banks focus on deposits and payments and cannot lend from their own balance sheets. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Rural place-based architecture. **Named evidence/example:** RRBs, the Lead Bank Scheme and Service Area Approach linked branch expansion and formal rural credit with district and local-area planning. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Priority Sector Lending. **Named evidence/example:** RBI's owner record states a 40 per cent ANBC or credit-equivalent target for most domestic banks, 18 per cent for agriculture including 10 per cent for small and marginal farmers, and 12 per cent for weaker sections, with higher overall targets for RRBs and SFBs under the latest cited direction. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Claim -> named evidence -> analysis -> qualification:

- India combines public, private and foreign banks, Regional Rural Banks, co-operative banks, Small Finance Banks and Payments Banks to serve different ownership, reach, credit and payment functions.
- Small Finance Banks undertake deposit mobilisation and lending, whereas Payments Banks focus on deposits and payments and cannot lend from their own balance sheets.
- RRBs, the Lead Bank Scheme and Service Area Approach linked branch expansion and formal rural credit with district and local-area planning.
- RBI's owner record states a 40 per cent ANBC or credit-equivalent target for most domestic banks, 18 per cent for agriculture including 10 per cent for small and marginal farmers, and 12 per cent for weaker sections, with higher overall targets for RRBs and SFBs under the latest cited direction.

Qualified conclusion: Claim: Multi-tier banking structure. **Named evidence/example:** India combines public, private and foreign banks, Regional Rural Banks, co-operative banks, Small Finance Banks and Payments Banks to serve different ownership, reach, credit and payment functions. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability.

Qualification: The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Differentiated licensing. **Named evidence/example:** Small Finance Banks undertake deposit mobilisation and lending, whereas Payments Banks focus on deposits and payments and cannot lend from their own balance sheets. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Rural place-based architecture. **Named evidence/example:** RRBs, the Lead Bank Scheme and Service Area Approach linked branch expansion and formal rural credit with district and local-area planning. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Priority Sector Lending. **Named evidence/example:** RBI's owner record states a 40 per cent ANBC or credit-equivalent target for most domestic

banks, 18 per cent for agriculture including 10 per cent for small and marginal farmers, and 12 per cent for weaker sections, with higher overall targets for RRBs and SFBs under the latest cited direction. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Demand decoding: The directive **explain** requires a direct position on “Explain India's multi-tier banking architecture and its inclusion rationale. Answer in about...”, every clause, exact formula/category, institution and policy status, a monetary-fiscal-real-external transmission chain with lags, named Indian evidence, distribution/federal effects, trade-offs and a qualified conclusion.

Detailed examiner-grade model answer:

Introduction and thesis: Claim: Multi-tier banking structure. **Named evidence/example:** India combines public, private and foreign banks, Regional Rural Banks, co-operative banks, Small Finance Banks and Payments Banks to serve different ownership, reach, credit and payment functions. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Differentiated licensing. **Named evidence/example:** Small Finance Banks undertake deposit mobilisation and lending, whereas Payments Banks focus on deposits and payments and cannot lend from their own balance sheets. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Rural place-based architecture. **Named evidence/example:** RRBs, the Lead Bank Scheme and Service Area Approach linked branch expansion and formal rural credit with district and local-area planning. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Priority Sector Lending. **Named evidence/example:** RBI's owner record states a 40 per cent ANBC or credit-equivalent target for most domestic banks, 18 per cent for agriculture including 10 per cent for small and marginal farmers, and 12 per cent for weaker sections, with higher overall targets for RRBs and SFBs under the latest cited direction. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Analytical body:

1. **Claim and named evidence:** India combines public, private and foreign banks, Regional Rural Banks, co-operative banks, Small Finance Banks and Payments Banks to serve different ownership, reach, credit and payment functions. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
2. **Claim and named evidence:** Small Finance Banks undertake deposit mobilisation and lending, whereas Payments Banks focus on deposits and payments and cannot lend from their own balance sheets. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
3. **Claim and named evidence:** RRBs, the Lead Bank Scheme and Service Area Approach linked branch expansion and formal rural credit with district and local-area planning. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

4. **Claim and named evidence:** RBI's owner record states a 40 per cent ANBC or credit-equivalent target for most domestic banks, 18 per cent for agriculture including 10 per cent for small and marginal farmers, and 12 per cent for weaker sections, with higher overall targets for RRBs and SFBs under the latest cited direction. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

Counter-position / limit: An accounting identity, index movement, allocation, rate change, notification, platform count, WTO notification or chronological association cannot alone establish transmission, utilisation, distributional benefit or attributable outcome; test mechanism, lag, counterfactual, data vintage, implementation and external/federal constraints.

Qualified conclusion: Claim: Multi-tier banking structure. **Named evidence/example:** India combines public, private and foreign banks, Regional Rural Banks, co-operative banks, Small Finance Banks and Payments Banks to serve different ownership, reach, credit and payment functions. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability.

Qualification: The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Differentiated licensing. **Named**

evidence/example: Small Finance Banks undertake deposit mobilisation and lending, whereas Payments Banks focus on deposits and payments and cannot lend from their own balance sheets. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Rural place-based

architecture. **Named evidence/example:** RRBs, the Lead Bank Scheme and Service Area Approach linked branch expansion and formal rural credit with district and local-area planning. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Priority Sector Lending. **Named**

evidence/example: RBI's owner record states a 40 per cent ANBC or credit-equivalent target for most domestic banks, 18 per cent for agriculture including 10 per cent for small and marginal farmers, and 12 per cent for weaker sections, with higher overall targets for RRBs and SFBs under the latest cited direction. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Executable exam-length answer / compression plan: For 15 marks, spend one-sixth of the time decoding the directive and drawing definition/identity -> instrument or shock -> transmission -> growth, distribution, stability, sustainability and federal effects; state a thesis; write four to seven claim -> named evidence -> analysis -> qualification points; reserve the final minute for unit, denominator, data vintage, legal/programme status, lag, causation and residual-risk checks.

Why this earns marks: The answer obeys the directive, explains mechanisms rather than listing schemes, uses India-centric evidence and preserves formula, stock-flow, institutional, status, data-vintage, distributional and causal distinctions.

How to improve this answer: For "Explain India's multi-tier banking architecture and its inclusion rationale. Answer in about...", replace the weakest catalogue point with one exact formula or classification, named institution/instrument, balance-sheet or incentive channel, lag, measurable outcome, distribution/federal effect and qualification.

ORIGINAL MAINS 4 - 15 MARKS

Question: Assess depositor protection and preventive supervision through DICGC and PCA. Answer in about 250 words.

Model thesis: **Claim:** DICGC perimeter. **Named evidence/example:** DICGC provides statutory insurance for eligible deposits in covered banks up to the owner's stated cap of five lakh rupees per depositor per bank, including principal and interest, but not shares, bonds, mutual funds or ordinary NBFC liabilities. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Prompt Corrective Action. **Named evidence/example:** RBI's PCA framework uses risk-based thresholds and graduated restrictions for weak banks before disorderly failure; PCA is not liquidation or a deposit-insurance payout. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Public-sector banking reform. **Named evidence/example:** PSB recapitalisation, the SBI associate-bank merger and appointment-governance reforms show that ownership, capital and structure matter alongside prudential supervision. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Claim -> named evidence -> analysis -> qualification:

- DICGC provides statutory insurance for eligible deposits in covered banks up to the owner's stated cap of five lakh rupees per depositor per bank, including principal and interest, but not shares, bonds, mutual funds or ordinary NBFC liabilities.
- RBI's PCA framework uses risk-based thresholds and graduated restrictions for weak banks before disorderly failure; PCA is not liquidation or a deposit-insurance payout.
- PSB recapitalisation, the SBI associate-bank merger and appointment-governance reforms show that ownership, capital and structure matter alongside prudential supervision.

Qualified conclusion: **Claim:** DICGC perimeter. **Named evidence/example:** DICGC provides statutory insurance for eligible deposits in covered banks up to the owner's stated cap of five lakh rupees per depositor per bank, including principal and interest, but not shares, bonds, mutual funds or ordinary NBFC liabilities. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Prompt Corrective Action. **Named evidence/example:** RBI's PCA framework uses risk-based thresholds and graduated restrictions for weak banks before disorderly failure; PCA is not liquidation or a deposit-insurance payout. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Public-sector banking reform. **Named evidence/example:** PSB recapitalisation, the SBI associate-bank merger and appointment-governance reforms show that ownership, capital and structure matter alongside prudential supervision. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Demand decoding: The directive **assess** requires a direct position on "Assess depositor protection and preventive supervision through DICGC and PCA. Answer in about...", every clause, exact formula/category, institution and policy status, a monetary-fiscal-real-external transmission chain with lags, named Indian evidence, distribution/federal effects, trade-offs and a qualified conclusion.

Detailed examiner-grade model answer:

Introduction and thesis: **Claim:** DICGC perimeter. **Named evidence/example:** DICGC provides statutory insurance for eligible deposits in covered banks up to the owner's stated cap of five lakh rupees per depositor per bank, including

principal and interest, but not shares, bonds, mutual funds or ordinary NBFC liabilities. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Prompt Corrective Action. **Named evidence/example:** RBI's PCA framework uses risk-based thresholds and graduated restrictions for weak banks before disorderly failure; PCA is not liquidation or a deposit-insurance payout. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Public-sector banking reform. **Named evidence/example:** PSB recapitalisation, the SBI associate-bank merger and appointment-governance reforms show that ownership, capital and structure matter alongside prudential supervision. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Analytical body:

1. **Claim and named evidence:** DICGC provides statutory insurance for eligible deposits in covered banks up to the owner's stated cap of five lakh rupees per depositor per bank, including principal and interest, but not shares, bonds, mutual funds or ordinary NBFC liabilities. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
2. **Claim and named evidence:** RBI's PCA framework uses risk-based thresholds and graduated restrictions for weak banks before disorderly failure; PCA is not liquidation or a deposit-insurance payout. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
3. **Claim and named evidence:** PSB recapitalisation, the SBI associate-bank merger and appointment-governance reforms show that ownership, capital and structure matter alongside prudential supervision. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

Counter-position / limit: An accounting identity, index movement, allocation, rate change, notification, platform count, WTO notification or chronological association cannot alone establish transmission, utilisation, distributional benefit or attributable outcome; test mechanism, lag, counterfactual, data vintage, implementation and external/federal constraints.

Qualified conclusion: **Claim:** DICGC perimeter. **Named evidence/example:** DICGC provides statutory insurance for eligible deposits in covered banks up to the owner's stated cap of five lakh rupees per depositor per bank, including principal and interest, but not shares, bonds, mutual funds or ordinary NBFC liabilities. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Prompt Corrective Action. **Named evidence/example:** RBI's PCA framework uses risk-based thresholds and graduated restrictions for weak banks before disorderly failure; PCA is not liquidation or a deposit-insurance payout. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Public-sector banking reform. **Named evidence/example:** PSB recapitalisation, the SBI associate-bank merger and appointment-governance reforms show that ownership, capital and structure matter alongside prudential supervision. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution

or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Executable exam-length answer / compression plan: For 15 marks, spend one-sixth of the time decoding the directive and drawing definition/identity -> instrument or shock -> transmission -> growth, distribution, stability, sustainability and federal effects; state a thesis; write four to seven claim -> named evidence -> analysis -> qualification points; reserve the final minute for unit, denominator, data vintage, legal/programme status, lag, causation and residual-risk checks.

Why this earns marks: The answer obeys the directive, explains mechanisms rather than listing schemes, uses India-centric evidence and preserves formula, stock-flow, institutional, status, data-vintage, distributional and causal distinctions.

How to improve this answer: For “Assess depositor protection and preventive supervision through DICGC and PCA. Answer in about...”, replace the weakest catalogue point with one exact formula or classification, named institution/instrument, balance-sheet or incentive channel, lag, measurable outcome, distribution/federal effect and qualification.

ORIGINAL MAINS 5 - 20 MARKS

Question: How can India preserve specialised NBFC credit without regulatory arbitrage and systemic risk? Answer in about 300 words.

Model thesis: Claim: NBFC boundary. **Named evidence/example:** An NBFC is a company carrying specified financial activity without being a bank; RBI registration does not confer full bank-style demand-deposit, cheque-payment or DICGC privileges. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Systemic regulation. **Named evidence/example:** Systemic regulation addresses institutional safety and financial-system stability through entry, governance, prudential, conduct, reporting and interconnectedness rules. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** NBFC contagion risk. **Named evidence/example:** The IL&FS default in 2018 and DHFL-related stress showed how wholesale funding, maturity mismatch and interconnectedness can transmit NBFC stress to mutual funds, banks and credit markets. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Regulatory architecture. **Named evidence/example:** RBI regulates banking and NBFC activity, DICGC insures eligible bank deposits, SEBI regulates securities, IRDAI insurance, PFRDA pensions, and FSDC supports cross-regulatory coordination. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Foreign banks and facility access. **Named evidence/example:** Foreign banks may use branch or wholly owned subsidiary modes under RBI rules, and ordinary NBFCs do not automatically receive the same routine LAF access as scheduled banks. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Claim -> named evidence -> analysis -> qualification:

- An NBFC is a company carrying specified financial activity without being a bank; RBI registration does not confer full bank-style demand-deposit, cheque-payment or DICGC privileges.
- Systemic regulation addresses institutional safety and financial-system stability through entry, governance, prudential, conduct, reporting and interconnectedness rules.
- The IL&FS default in 2018 and DHFL-related stress showed how wholesale funding, maturity mismatch and interconnectedness can transmit NBFC stress to mutual funds, banks and credit markets.

- RBI regulates banking and NBFC activity, DICGC insures eligible bank deposits, SEBI regulates securities, IRDAI insurance, PFRDA pensions, and FSDC supports cross-regulatory coordination.
- Foreign banks may use branch or wholly owned subsidiary modes under RBI rules, and ordinary NBFCs do not automatically receive the same routine LAF access as scheduled banks.

Qualified conclusion: Claim: NBFC boundary. **Named evidence/example:** An NBFC is a company carrying specified financial activity without being a bank; RBI registration does not confer full bank-style demand-deposit, cheque-payment or DICGC privileges. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Systemic regulation. **Named evidence/example:** Systemic regulation addresses institutional safety and financial-system stability through entry, governance, prudential, conduct, reporting and interconnectedness rules. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** NBFC contagion risk. **Named evidence/example:** The IL&FS default in 2018 and DHFL-related stress showed how wholesale funding, maturity mismatch and interconnectedness can transmit NBFC stress to mutual funds, banks and credit markets. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Regulatory architecture. **Named evidence/example:** RBI regulates banking and NBFC activity, DICGC insures eligible bank deposits, SEBI regulates securities, IRDAI insurance, PFRDA pensions, and FSDC supports cross-regulatory coordination. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Foreign banks and facility access. **Named evidence/example:** Foreign banks may use branch or wholly owned subsidiary modes under RBI rules, and ordinary NBFCs do not automatically receive the same routine LAF access as scheduled banks. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Demand decoding: The directive **answer** requires a direct position on “How can India preserve specialised NBFC credit without regulatory arbitrage and systemic...”, every clause, exact formula/category, institution and policy status, a monetary-fiscal-real-external transmission chain with lags, named Indian evidence, distribution/federal effects, trade-offs and a qualified conclusion.

Detailed examiner-grade model answer:

Introduction and thesis: Claim: NBFC boundary. **Named evidence/example:** An NBFC is a company carrying specified financial activity without being a bank; RBI registration does not confer full bank-style demand-deposit, cheque-payment or DICGC privileges. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Systemic regulation. **Named evidence/example:** Systemic regulation addresses institutional safety and financial-system stability through entry, governance, prudential, conduct, reporting and interconnectedness rules. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** NBFC contagion risk. **Named evidence/example:** The IL&FS default in 2018 and DHFL-related stress showed how wholesale funding, maturity mismatch and interconnectedness can transmit NBFC stress to mutual funds, banks and credit markets. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Regulatory architecture. **Named evidence/example:** RBI regulates banking and NBFC activity, DICGC insures eligible bank deposits, SEBI regulates

securities, IRDAI insurance, PFRDA pensions, and FSDC supports cross-regulatory coordination. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Foreign banks and facility access. **Named evidence/example:** Foreign banks may use branch or wholly owned subsidiary modes under RBI rules, and ordinary NBFCs do not automatically receive the same routine LAF access as scheduled banks. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Analytical body:

1. **Claim and named evidence:** An NBFC is a company carrying specified financial activity without being a bank; RBI registration does not confer full bank-style demand-deposit, cheque-payment or DICGC privileges. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
2. **Claim and named evidence:** Systemic regulation addresses institutional safety and financial-system stability through entry, governance, prudential, conduct, reporting and interconnectedness rules. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
3. **Claim and named evidence:** The IL&FS default in 2018 and DHFL-related stress showed how wholesale funding, maturity mismatch and interconnectedness can transmit NBFC stress to mutual funds, banks and credit markets. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
4. **Claim and named evidence:** RBI regulates banking and NBFC activity, DICGC insures eligible bank deposits, SEBI regulates securities, IRDAI insurance, PFRDA pensions, and FSDC supports cross-regulatory coordination. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
5. **Claim and named evidence:** Foreign banks may use branch or wholly owned subsidiary modes under RBI rules, and ordinary NBFCs do not automatically receive the same routine LAF access as scheduled banks. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

Counter-position / limit: An accounting identity, index movement, allocation, rate change, notification, platform count, WTO notification or chronological association cannot alone establish transmission, utilisation, distributional benefit or attributable outcome; test mechanism, lag, counterfactual, data vintage, implementation and external/federal constraints.

Qualified conclusion: **Claim:** NBFC boundary. **Named evidence/example:** An NBFC is a company carrying specified financial activity without being a bank; RBI registration does not confer full bank-style demand-deposit, cheque-payment or DICGC privileges. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Systemic regulation. **Named evidence/example:** Systemic regulation addresses institutional safety and financial-system stability through entry, governance, prudential, conduct, reporting

and interconnectedness rules. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** NBFC contagion risk. **Named evidence/example:** The IL&FS default in 2018 and DHFL-related stress showed how wholesale funding, maturity mismatch and interconnectedness can transmit NBFC stress to mutual funds, banks and credit markets. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Regulatory architecture. **Named evidence/example:** RBI regulates banking and NBFC activity, DICGC insures eligible bank deposits, SEBI regulates securities, IRDAI insurance, PFRDA pensions, and FSDC supports cross-regulatory coordination. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Foreign banks and facility access. **Named evidence/example:** Foreign banks may use branch or wholly owned subsidiary modes under RBI rules, and ordinary NBFCs do not automatically receive the same routine LAF access as scheduled banks. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Executable exam-length answer / compression plan: For 20 marks, spend one-sixth of the time decoding the directive and drawing definition/identity -> instrument or shock -> transmission -> growth, distribution, stability, sustainability and federal effects; state a thesis; write four to seven claim -> named evidence -> analysis -> qualification points; reserve the final minute for unit, denominator, data vintage, legal/programme status, lag, causation and residual-risk checks.

Why this earns marks: The answer obeys the directive, explains mechanisms rather than listing schemes, uses India-centric evidence and preserves formula, stock-flow, institutional, status, data-vintage, distributional and causal distinctions.

How to improve this answer: For “How can India preserve specialised NBFC credit without regulatory arbitrage and systemic...”, replace the weakest catalogue point with one exact formula or classification, named institution/instrument, balance-sheet or incentive channel, lag, measurable outcome, distribution/federal effect and qualification.

ORIGINAL MAINS 6 - 20 MARKS

Question: Compare banks, RRBs, co-operatives, SFBs, Payments Banks and NBFCs in the inclusion-stability framework. Answer in about 300 words.

Model thesis: **Claim:** Co-operative-bank perimeter. **Named evidence/example:** Co-operative banks are member-based institutions governed by co-operative law while their banking functions also attract RBI and banking-law oversight. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Multi-tier banking structure. **Named evidence/example:** India combines public, private and foreign banks, Regional Rural Banks, co-operative banks, Small Finance Banks and Payments Banks to serve different ownership, reach, credit and payment functions. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Differentiated licensing. **Named evidence/example:** Small Finance Banks undertake deposit mobilisation and lending, whereas Payments Banks focus on deposits and payments and cannot lend from their own balance sheets. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Rural place-based architecture. **Named evidence/example:** RRBs, the Lead Bank Scheme and Service Area Approach linked branch

expansion and formal rural credit with district and local-area planning. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Priority Sector Lending. **Named evidence/example:** RBI's owner record states a 40 per cent ANBC or credit-equivalent target for most domestic banks, 18 per cent for agriculture including 10 per cent for small and marginal farmers, and 12 per cent for weaker sections, with higher overall targets for RRBs and SFBs under the latest cited direction. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** NBFC contagion risk. **Named evidence/example:** The IL&FS default in 2018 and DHFL-related stress showed how wholesale funding, maturity mismatch and interconnectedness can transmit NBFC stress to mutual funds, banks and credit markets. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Claim -> named evidence -> analysis -> qualification:

- Co-operative banks are member-based institutions governed by co-operative law while their banking functions also attract RBI and banking-law oversight.
- India combines public, private and foreign banks, Regional Rural Banks, co-operative banks, Small Finance Banks and Payments Banks to serve different ownership, reach, credit and payment functions.
- Small Finance Banks undertake deposit mobilisation and lending, whereas Payments Banks focus on deposits and payments and cannot lend from their own balance sheets.
- RRBs, the Lead Bank Scheme and Service Area Approach linked branch expansion and formal rural credit with district and local-area planning.
- RBI's owner record states a 40 per cent ANBC or credit-equivalent target for most domestic banks, 18 per cent for agriculture including 10 per cent for small and marginal farmers, and 12 per cent for weaker sections, with higher overall targets for RRBs and SFBs under the latest cited direction.
- The IL&FS default in 2018 and DHFL-related stress showed how wholesale funding, maturity mismatch and interconnectedness can transmit NBFC stress to mutual funds, banks and credit markets.

Qualified conclusion: **Claim:** Co-operative-bank perimeter. **Named evidence/example:** Co-operative banks are member-based institutions governed by co-operative law while their banking functions also attract RBI and banking-law oversight. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Multi-tier banking structure. **Named evidence/example:** India combines public, private and foreign banks, Regional Rural Banks, co-operative banks, Small Finance Banks and Payments Banks to serve different ownership, reach, credit and payment functions. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability.

Qualification: The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Differentiated licensing. **Named evidence/example:** Small Finance Banks undertake deposit mobilisation and lending, whereas Payments Banks focus on deposits and payments and cannot lend from their own balance sheets. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Rural place-based architecture. **Named evidence/example:** RRBs, the Lead Bank Scheme and Service Area Approach linked branch expansion and formal rural credit with district and local-area planning. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Priority Sector Lending. **Named evidence/example:** RBI's owner record states a 40 per cent ANBC or credit-equivalent target for most domestic

banks, 18 per cent for agriculture including 10 per cent for small and marginal farmers, and 12 per cent for weaker sections, with higher overall targets for RRBs and SFBs under the latest cited direction. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** NBFC contagion risk. **Named evidence/example:** The IL&FS default in 2018 and DHFL-related stress showed how wholesale funding, maturity mismatch and interconnectedness can transmit NBFC stress to mutual funds, banks and credit markets. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Demand decoding: The directive **compare** requires a direct position on “Compare banks, RRBs, co-operatives, SFBs, Payments Banks and NBFCs in the inclusion-stability...”, every clause, exact formula/category, institution and policy status, a monetary-fiscal-real-external transmission chain with lags, named Indian evidence, distribution/federal effects, trade-offs and a qualified conclusion.

Detailed examiner-grade model answer:

Introduction and thesis: **Claim:** Co-operative-bank perimeter. **Named evidence/example:** Co-operative banks are member-based institutions governed by co-operative law while their banking functions also attract RBI and banking-law oversight. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Multi-tier banking structure. **Named evidence/example:** India combines public, private and foreign banks, Regional Rural Banks, co-operative banks, Small Finance Banks and Payments Banks to serve different ownership, reach, credit and payment functions. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Differentiated licensing. **Named evidence/example:** Small Finance Banks undertake deposit mobilisation and lending, whereas Payments Banks focus on deposits and payments and cannot lend from their own balance sheets. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Rural place-based architecture. **Named evidence/example:** RRBs, the Lead Bank Scheme and Service Area Approach linked branch expansion and formal rural credit with district and local-area planning. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Priority Sector Lending. **Named evidence/example:** RBI's owner record states a 40 per cent ANBC or credit-equivalent target for most domestic banks, 18 per cent for agriculture including 10 per cent for small and marginal farmers, and 12 per cent for weaker sections, with higher overall targets for RRBs and SFBs under the latest cited direction. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** NBFC contagion risk. **Named evidence/example:** The IL&FS default in 2018 and DHFL-related stress showed how wholesale funding, maturity mismatch and interconnectedness can transmit NBFC stress to mutual funds, banks and credit markets. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Analytical body:

1. **Claim and named evidence:** Co-operative banks are member-based institutions governed by co-operative law while their banking functions also attract RBI and banking-law oversight. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State

unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

2. **Claim and named evidence:** India combines public, private and foreign banks, Regional Rural Banks, co-operative banks, Small Finance Banks and Payments Banks to serve different ownership, reach, credit and payment functions. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
3. **Claim and named evidence:** Small Finance Banks undertake deposit mobilisation and lending, whereas Payments Banks focus on deposits and payments and cannot lend from their own balance sheets. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
4. **Claim and named evidence:** RRBs, the Lead Bank Scheme and Service Area Approach linked branch expansion and formal rural credit with district and local-area planning. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
5. **Claim and named evidence:** RBI's owner record states a 40 per cent ANBC or credit-equivalent target for most domestic banks, 18 per cent for agriculture including 10 per cent for small and marginal farmers, and 12 per cent for weaker sections, with higher overall targets for RRBs and SFBs under the latest cited direction. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
6. **Claim and named evidence:** The IL&FS default in 2018 and DHFL-related stress showed how wholesale funding, maturity mismatch and interconnectedness can transmit NBFC stress to mutual funds, banks and credit markets. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

Counter-position / limit: An accounting identity, index movement, allocation, rate change, notification, platform count, WTO notification or chronological association cannot alone establish transmission, utilisation, distributional benefit or attributable outcome; test mechanism, lag, counterfactual, data vintage, implementation and external/federal constraints.

Qualified conclusion: Claim: Co-operative-bank perimeter. **Named evidence/example:** Co-operative banks are member-based institutions governed by co-operative law while their banking functions also attract RBI and banking-law oversight. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Multi-tier banking structure. **Named evidence/example:** India combines public, private and foreign banks, Regional Rural Banks, co-operative banks, Small Finance Banks and Payments Banks to serve different ownership, reach, credit and payment functions. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Differentiated licensing. **Named evidence/example:** Small Finance Banks undertake deposit mobilisation and lending, whereas Payments Banks focus on deposits and payments and cannot lend from their own balance sheets. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket,

instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Rural place-based architecture. **Named evidence/example:** RRBs, the Lead Bank Scheme and Service Area Approach linked branch expansion and formal rural credit with district and local-area planning. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Priority Sector Lending. **Named evidence/example:** RBI's owner record states a 40 per cent ANBC or credit-equivalent target for most domestic banks, 18 per cent for agriculture including 10 per cent for small and marginal farmers, and 12 per cent for weaker sections, with higher overall targets for RRBs and SFBs under the latest cited direction. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** NBFC contagion risk. **Named evidence/example:** The IL&FS default in 2018 and DHFL-related stress showed how wholesale funding, maturity mismatch and interconnectedness can transmit NBFC stress to mutual funds, banks and credit markets. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Executable exam-length answer / compression plan: For 20 marks, spend one-sixth of the time decoding the directive and drawing definition/identity -> instrument or shock -> transmission -> growth, distribution, stability, sustainability and federal effects; state a thesis; write four to seven claim -> named evidence -> analysis -> qualification points; reserve the final minute for unit, denominator, data vintage, legal/programme status, lag, causation and residual-risk checks.

Why this earns marks: The answer obeys the directive, explains mechanisms rather than listing schemes, uses India-centric evidence and preserves formula, stock-flow, institutional, status, data-vintage, distributional and causal distinctions.

How to improve this answer: For “Compare banks, RRBs, co-operatives, SFBs, Payments Banks and NBFCs in the inclusion-stability...”, replace the weakest catalogue point with one exact formula or classification, named institution/instrument, balance-sheet or incentive channel, lag, measurable outcome, distribution/federal effect and qualification.